NEW ISSUE-BOOK ENTRY ONLY

S&P Global Ratings: "AA" (Stable Outlook) (Insured)
"A-" (Stable Outlook) (Underlying)
See "RATINGS" herein

Under the laws of the Commonwealth of Pennsylvania, the Bonds and interest on the Bonds shall be free from taxation for State and local purposes within the Commonwealth of Pennsylvania, but this exemption does not extend to gift, estate, succession or inheritance taxes or any other taxes not levied or assessed directly on the Bonds or the interest thereon. Under the laws of the Commonwealth of Pennsylvania, profits, gains or income derived from the sale, exchange or other disposition of the Bonds shall be subject to State and local taxation within the Commonwealth of Pennsylvania. Interest on the Bonds is includable in gross income for federal income tax purposes.

For further information concerning federal and state tax matters related to the Bonds, see "TAX MATTERS" herein.

$50,195,000
READING AREA WATER AUTHORITY
(Berks County, Pennsylvania)
Federally Taxable Water Revenue Bonds, Series of 2020

Dated: Date of Delivery
Principal Due: December 1, as shown on inside cover

Interest Payable: June 1 and December 1
First interest Payment: June 1, 2020

The Reading Area Water Authority (the "Authority") will issue its Federally Taxable Water Revenue Bonds, Series of 2020 (the "Bonds") in fully registered form, without coupons in denominations of $5,000 or any integral multiples thereof. Interest on the Bonds is payable on June 1 and December 1 of each year, commencing June 1, 2020. The Bonds will be registered initially in the name of Cede & Co., as nominee for The Depository Trust Company ("DTC"), New York, New York, an automated depository for securities and clearing house for securities transactions. Individual purchases of the Bonds will initially be made in book-entry form only in denominations of $5,000 or any integral multiples thereof under the book-entry only system maintained by DTC. Purchasers of the Bonds will not receive physical delivery of the Bonds. Transfer of the Bonds will be effected through a book-entry system as described herein. For so long as any purchaser is the beneficial owner of a Bond, that purchaser must maintain an account with a broker or a dealer who is, or acts through, a DTC Participant to receive payment of principal of and interest on the Bonds. See "BOOK-ENTRY ONLY SYSTEM" herein.

So long as DTC or its nominee, Cede & Co., is the registered owner of the Bonds, payments of the principal of and interest on the Bonds when due for payment, will be paid directly to DTC or its nominee, Cede & Co., which will in turn remit such payments to DTC Participants for subsequent disbursement to the Beneficial Owners of the Bonds. If the use of a book-entry system for the Bonds is ever discontinued, Bonds will be issued in certificated form and the principal of the Bonds will be payable when due, upon surrender of such Bonds at the designated corporate trust office of Manufacturers and Traders Trust Company, located in Harrisburg, Pennsylvania, in its capacity as Trustee (the "Trustee") (or any successor trustee at its designated offices), interest on such Bonds will be payable by check and mailed to the persons in whose name such Bonds are registered as of the Record Date with respect to the particular interest payment date, and the Bonds will be subject to registration of transfer, exchange and payment as described herein (see "THE BONDS" herein).

The Bonds are subject to redemption prior to maturity as described herein.

The Bonds are issued pursuant to a Fifth Supplemental Trust Indenture dated as of March 15, 2020, supplementing the Trust Indenture dated as of September 15, 2002, as previously supplemented by the First Supplemental Trust Indenture dated July 1, 2003, the Second Supplemental Trust Indenture dated July 15, 2007, the Third Supplemental Trust Indenture, dated December 15, 2011, and the Fourth Supplemental Trust Indenture dated April 15, 2015 (collectively, the "Indenture") each between the Authority and the Trustee. The Bonds are payable from and secured under the Indenture by an assignment and pledge to the Trustee of revenues and receipts derived from the operation of the Water System (as herein defined), all as provided in the Indenture.

Proceeds of the Bonds will be used, together with other available funds, to: (1) refund all of the Authority's Water Revenue Bonds, Series of 2011; and (2) pay the costs and expenses related to the issuance of the Bonds. See "PURPOSE OF THE ISSUE" herein.

The scheduled payment of the principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by Build America Mutual Assurance Company ("BAM"). See "BOND INSURANCE" herein.

THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY AND NEITHER THE CREDIT NOR THE TAXING POWER OF THE COMMONWEALTH OF PENNSYLVANIA OR ANY OTHER AGENCY OR POLITICAL SUBDIVISION THEREOF, INCLUDING THE CITY OF READING, BERKS COUNTY, PENNSYLVANIA, IS PLEDGED TO PAY THE PRINCIPAL OF OR INTEREST ON THE BONDS. THE AUTHORITY HAS NO TAXING POWER.

MATURITIES, AMOUNTS, RATES, INITIAL REOFFERING YIELDS/PRICES AND CUSIP NUMBERS
{As shown on inside cover}

The Bonds are offered for delivery when, as and if issued by the Authority and received by the Underwriters, subject to the approving legal opinion of Stevens & Lee, P.C., Bond Counsel, Reading, Pennsylvania. Certain legal matters will be passed upon for the Authority by Edwin Stock, Esq., Reading, Pennsylvania, Authority Solicitor and for the Underwriters by their counsel, Eckert Seamans Cherin & Mellott LLC, Harrisburg, Pennsylvania. NW Financial Group, LLC, Kenilworth, Pennsylvania will serve as Financial Advisor to the Authority in connection with the issuance of the Bonds. It is expected that delivery of the Bonds will be made through the facilities of DTC in New York, New York, on or about March 26, 2020, against payment therefor.

STIFEL

February 27, 2020

$50,195,000
READING AREA WATER AUTHORITY
(Berks County, Pennsylvania)
Federally Taxable Water Revenue Bonds, Series of 2020

Dated: Date of Delivery **Interest Payable: June 1 and December 1**
Principal Due: December 1 (as shown below) **First interest Payment: June 1, 2020**

MATURITIES, AMOUNTS, RATES, INITIAL REOFFERING YIELDS/PRICES AND CUSIP NUMBERS

Maturity Date (December 1) Year	Principal Amounts	Interest Rates	Initial Offering Yields	Initial Offering Prices	CUSIP No.**
2020	$955,000	1.611%	1.611%	100.000	755562DG7
2021	575,000	1.661	1.661	100.000	755562DH5
2022	590,000	1.691	1.691	100.000	755562DJ1
2023	600,000	1.754	1.754	100.000	755562DK8
2024	610,000	1.817	1.817	100.000	755562DL6
2025	645,000	1.867	1.867	100.000	755562DM4
2026	660,000	1.976	1.976	100.000	755562DN2
2027	640,000	2.076	2.076	100.000	755562DP7
2028	4,690,000	2.209	2.209	100.000	755562DQ5
2029	4,785,000	2.309	2.309	100.000	755562DR3
2030	4,635,000	2.359	2.359	100.000	755562DS1
2031	4,745,000	2.439	2.439	100.000	755562DT9
2032	4,755,000	2.539	2.539	100.000	755562DU6
2033	5,930,000	2.609	2.609	100.000	755562DV4
2034	6,080,000	2.659	2.659	100.000	755562DW2
2036*	9,300,000	2.952	2.952	100.000	755562DX0

* Term Bond

** CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by Standard & Poor's on behalf of the American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. CUSIP numbers are provided for convenience or reference only. Neither the School District nor the Underwriters take any responsibility for the accuracy of such CUSIP numbers. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions, including, but not limited to, a refunding in whole or in part of such maturity.

READING AREA WATER AUTHORITY

(Berks County, Pennsylvania)

AUTHORITY BOARD

Reverend Steven McCracken	Chairman
Dr. Phillip Dougherty	Vice Chairperson
Vacant	Secretary/Treasurer
Cecile Grimshaw	Member
Vacant	Member
Vacant	Member
Vacant	Member

AUTHORITY MANAGEMENT
William Murray, Executive Director

AUTHORITY SOLICITOR
RRS Legal, LLC
Reading, Pennsylvania

BOND COUNSEL
Stevens & Lee, P.C.
Reading, Pennsylvania

FINANCIAL ADVISOR
NW Financial Group, LLC
Kenilworth, Pennsylvania

CONSULTING ENGINEER
SSM Engineering
Reading, Pennsylvania

UNDERWRITERS
Stifel, Nicolaus & Company, Incorporated
Philadelphia, Pennsylvania

RBC Capital Markets LLC
Lancaster, Pennsylvania

UNDERWRITER'S COUNSEL
Eckert Seamans Cherin & Mellott, LLC
Harrisburg, Pennsylvania

TRUSTEE
Manufacturers and Traders Trust Company
Harrisburg, Pennsylvania

AUTHORITY ADDRESS

1801 Kutztown Road
Reading, Pennsylvania 19604

No dealer, broker, salesperson or other person has been authorized by the Reading Area Water Authority, Berks County, Pennsylvania (the "Authority") or by Stifel, Nicolaus & Company, Incorporated or RBC Capital Markets, LLC (the "Underwriters"), to give any information or to make any representations with respect to the Bonds, other than the information contained in this Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by the Authority or the Underwriters. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, and there shall not be any sale of the Bonds by any person in any state in which it is unlawful for such person to make such offer, solicitation or sale.

The information set forth herein has been obtained from the Authority, The Depository Trust Company and other sources that are believed to be reliable, and is in form deemed final by the Authority for the purpose of Rule 15c2-12 under the Securities Exchange Act of 1934, as amended, but the Underwriters do not guarantee the accuracy or completeness of such information, such information is not to be construed as a representation by the Underwriters, and except for the information concerning the Authority, such information is not to be construed as a representation by the Authority. The information contained in this Official Statement speaks as of its date, except where otherwise noted, and is subject to change without notice. Neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Authority since the date of this Official Statement. In making an investment decision, investors must rely on their own examination of the Authority and the terms of the offering, including the merits and risks involved.

The Bonds have not been registered with the Securities and Exchange Commission under the Securities Act of 1933, as amended, nor has the Indenture been qualified under the Trust Indenture Act of 1939, as amended, in reliance upon exemptions contained in such acts. The registration or qualification of the Bonds in accordance with applicable provisions of the securities laws of the states, if any, in which the Bonds have been registered or qualified and the exemption from registration or qualification in certain other states cannot be regarded as a recommendation thereof. Neither these states nor any of their agencies nor the Securities and Exchange Commission has passed upon the merits of the Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

In connection with the offering of the Bonds, the Underwriters may over allot or effect transactions that may stabilize or maintain the market price of such Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time without prior notice.

The order and placement of materials in this Official Statement, including the appendices, are not to be deemed to be a determination of relevance, materiality or importance, and this Official Statement, including the appendices, must be considered in its entirety. The offering of the Bonds is made only by means of this entire Official Statement.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of any of such information.

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix G - Specimen Municipal Bond Insurance Policy".

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Appendix G – Specimen Municipal Bond Insurance Policy

$50,195,000
READING AREA WATER AUTHORITY
(Berks County, Pennsylvania)
Federally Taxable Water Revenue Bonds, Series of 2020

INTRODUCTION

This Official Statement, including the cover page, inside cover pages and the Appendices hereto, is furnished by the Reading Area Water Authority (the "Authority"), in connection with the offering of its $50,000,000* aggregate principal amount of Federally Taxable Water Revenue Bonds, Series of 2020 (the "Bonds"). The Bonds will be dated as of the date of delivery, when interest on the Bonds will begin to accrue.

The Bonds are to be issued as a series of additional water revenue bonds under and secured by a Trust Indenture, dated as of September 15, 2002, (the "Initial Indenture") as previously supplemented by a First Supplemental Trust Indenture, dated as of July 1, 2003 (the "First Supplemental Indenture"), a Second Supplemental Trust Indenture, dated as of July 15, 2007 (the "Second Supplemental Indenture"), a Third Supplemental Trust Indenture, dated December 15, 2011 (the "Third Supplemental Indenture"), a Fourth Supplemental Trust Indenture, dated as of April 15, 2015 (the "Fourth Supplemental Indenture"), and as further supplemented by a Fifth Supplemental Trust Indenture, dated as of March 15, 2020 (the "Fifth Supplemental Indenture") (collectively, the "Indenture"), each between the Authority and Manufacturers and Traders Trust Company (the "Trustee"), as successor Trustee.

The Indenture provides that the Authority may issue, from time to time, additional water revenue bonds (the "Water Revenue Bonds") for the purposes described under the Indenture - See "CERTAIN PROVISIONS OF THE INDENTURE" herein.

THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY AND NEITHER THE CREDIT NOR THE TAXING POWER OF THE COMMONWEALTH OF PENNSYLVANIA OR ANY OTHER AGENCY OR POLITICAL SUBDIVISION THEREOF, INCLUDING THE CITY OF READING, BERKS COUNTY, PENNSYLVANIA, IS PLEDGED TO PAY THE PRINCIPAL OF OR INTEREST ON THE BONDS. THE AUTHORITY HAS NO TAXING POWER.

Certain portions of the following information are summaries of the Indenture, the Bonds and other documents relating to the issuance of the Bonds. Such summaries do not purport to be complete and reference is made to the individual documents so summarized, copies of which are on file and available for examination at the office of the Authority. Neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall, under any circumstances, create any implication that there have not been any changes in the affairs of the Authority since the date of this Official Statement or the earliest date as of which certain information contained herein is given.

THE AUTHORITY

The Authority was established on June 1, 1994, and is a body corporate and politic duly organized and existing under the Pennsylvania Municipality Authorities Act, 53 Pa. C.S § 5601 *et seq.*, as amended (the "Act"). The Authority has been incorporated pursuant to appropriate action of the governing body of the City of Reading, Berks County, Pennsylvania (the "City"). The Authority has the power to, among other things, acquire, hold, construct, improve, maintain and operate water supply, water filtration plants, trunklines and water distribution systems.

The governing body of the Authority is a board consisting of seven (7) members appointed by the City.

PURPOSE OF THE ISSUE

The proceeds of the Bonds will be used, together with other available funds, to: (1) refund all of the Authority's Water Revenue Bonds, Series of 2011 (the "Refunded 2011 Bonds"); and (2) pay the costs and expenses related to the issuance of the Bonds.

Upon delivery of the Bonds, a portion of the proceeds will be deposited in an escrow account for the Refunded 2011 Bonds with Manufacturers and Traders Trust Company, as escrow agent for the Refunded 2011 Bonds, and such proceeds will be held in cash and/or invested in direct obligations of the United States of America (the "Government Obligations"), the principal of which, together with cash and any investment earnings thereon, will be in an amount sufficient to provide for the payment of the principal of and interest on the Refunded 2011 Bonds as they become due and payable to and including December 1, 2021 and to redeem the remaining Refunded 2011 Bonds on December 1, 2021, at a redemption price of 100% of the principal amount of the remaining Refunded 2011 Bonds plus accrued interest thereon, pursuant to the optional redemption provisions of the Refunded 2011 Bonds.

Escrow Verification

When the Bonds are issued, Precision Analytics Inc., as verification agent, will deliver a report indicating that it has verified the arithmetic accuracy of the mathematical computations of the adequacy of the cash and the maturing principal amounts of, and the interest on, the Government Obligations to pay the principal, interest and redemption price coming due on the Refunded 2011 Bonds.

ESTIMATED SOURCES AND USES OF FUNDS

SOURCES OF FUNDS:	
PRINCIPAL AMOUNT OF THE BONDS	$ 50,195,000.00
AVAILABLE DEBT SERVICE FUNDS	65,897.53
AVAILABLE DEBT SERVICE RESERVE FUNDS	3,371,926.24
OTHER AVAILABLE FUNDS	3,650.06
TOTAL SOURCES OF FUNDS	$ 53,636,473.83
USES OF FUNDS:	
ESCROW DEPOSIT FOR THE REFUNDED 2011 BONDS	$ 53,191,545.17
ESTIMATED COSTS OF ISSUANCE[1]	444,928.66
TOTAL USES OF FUNDS	$ 53,636,473.83

(1) Includes legal fees, printing fees, underwriter's discount, municipal bond insurance, CUSIP fees, rating agency fees, trustee fees, escrow agent fees, verification, and other amounts incurred in connection with the issuance of the Bonds.

AUTHORITY FOR THE ISSUANCE

The Bonds will be issued in accordance with the Act and pursuant to provisions of the Indenture. The articles of incorporation duly organizing the Authority set forth that the City must provide prior approval of the issuance of the Bonds.

THE BONDS

General Description

The Bonds are dated the date of delivery thereof and mature in the amounts and bear interest at the rates listed on the inside cover page of this Official Statement. Interest on the Bonds is payable initially on June 1, 2020 and semiannually thereafter on June 1 and December 1 of each year. The Bonds are issued only as fully registered

bonds without coupons in the denomination of $5,000, or any integral multiples thereof. The Bonds will be issued as one fully registered Bond for each maturity of the Bonds in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), New York, New York, as registered owner of all Bonds. The principal of the Bonds is payable to the registered owner of each Bond at the designated corporate trust office of the Trustee. Interest on the Bonds is payable by check mailed to the Person in whose name such bond is registered, at the address of such person appearing on the registration books maintained by or on behalf of the Authority, at the close of business on the last day of the month next preceding each interest payment date (the "Record Date"), irrespective of any transfer or exchange of such bond subsequent to the applicable Record Date. See "BOOK-ENTRY ONLY SYSTEM" herein.

The Trustee is the bond registrar and the transfer agent for the Authority and as such will maintain the books of the Authority for the registration of ownership of each Bond.

Subject to the provisions described under "BOOK-ENTRY ONLY SYSTEM" below, principal of the Bonds will be paid to the registered owners thereof or assigns, when due, upon surrender of the Bonds at the corporate trust payment office of the Trustee in Harrisburg, Pennsylvania.

In all cases of the transfer of a Bond, the Trustee will enter the transfer of ownership in the registration books. The Authority and the Trustee may deem to treat the registered owner of any Bond as the absolute owner thereof (whether or not a Bond shall be overdue) for purposes of receiving payment of or on account of principal and interest and for all other purposes, and the Authority and Trustee shall not be affected by any other notice to the contrary. All payments made to a registered owner of a Bond shall be valid and effective to satisfy in full and discharge the liability of the Authority on the Bond in the amount paid.

BOOK-ENTRY ONLY SYSTEM

The information under this heading has been obtained from materials provided by DTC for such purpose. The Authority (herein referred to as the "Issuer") and the Underwriters do not guaranty the accuracy or completeness of such information and such information is not to be construed as a representation of the Authority or the Underwriters.

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or in such other name as may be requested by an authorized representative of DTC. One fully-registered certificate for the Bonds of each maturity will be issued in principal amount equal to the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond (the "Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive

written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owners entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of the Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the security documents. For example, Beneficial Owners to Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices of Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Paying Agent and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds (or all Bonds of a particular series or subseries and maturity) are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue (or maturity) to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails on Omnibus Proxy to the Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

So long as the Bonds are held by DTC under a book-entry system, payments of the principal of and interest on the Bonds, and, if applicable, any premium payable upon redemption thereof, will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice it to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Issuer or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Direct or Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct or Indirect Participants and not of DTC, the Trustee or the Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of the principal of and Interest on the Bonds and, if applicable, any premium payable upon redemption thereof to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Issuer or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Issuer or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, Bonds are required to be printed and delivered.

The Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

So long as a nominee of DTC is the registered owner of the Bonds, references herein to the Bondholders or the holders or owners of the Bonds shall mean DTC and shall not mean the Beneficial Owners of the Bonds. The

Issuer and the Trustee will recognize DTC or its nominee as the holder of all of the Bonds for all purposes, including the payment of the principal or redemption price of and interest on the Bonds, as well as the giving of notices and any consent or direction required or permitted to be given to or on behalf of the Bondholders under the Indenture. Neither the Issuer nor the Trustee will have any responsibility or obligation to Direct or Indirect Participants or Beneficial Owners with respect to payments or notices to Bondholders.

NEITHER THE ISSUER NOR THE TRUSTEE WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO ANY DIRECT PARTICIPANT, INDIRECT PARTICIPANT OR BENEFICIAL OWNER OR ANY OTHER PERSON WITH RESPECT TO: (1) THE BONDS; (2) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY DTC PARTICIPANT OR INDIRECT PARTICIPANT; (3) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE PRINCIPAL OR REDEMPTION PRICE OF OR INTEREST ON THE BONDS; (4) THE DELIVERY TO ANY BENEFICIAL OWNER BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY NOTICE WHICH IS REQUIRED OR PERMITTED UNDER THE TERMS OF THE INDENTURE TO BE GIVEN TO BONDHOLDERS; (5) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENT IN THE EVENT OF ANY PARTIAL REDEMPTION OF THE BONDS; OR (6) ANY OTHER ACTION TAKEN BY DTC AS BONDHOLDER.

The Issuer and the Trustee cannot give any assurances that DTC or the Participants will distribute payments of the principal or redemption price of and interest on the Bonds paid to DTC or its nominee, as the registered owner of the Bonds, or any redemption or other notices, to the Beneficial Owners or that they will do so on a timely basis, or that DTC will serve and act in the manner described in this Official Statement.

REDEMPTION OF BONDS

Optional Redemption

The Bonds maturing on or after December 1, 2030 may be redeemed prior to maturity as a whole at the option of the Authority on December 1, 2029 or on any date thereafter, or in part prior to maturity, by lot in $5,000 increments, at the option of the Authority, on December 1, 2029 or on any date thereafter, in any order of maturity, at 100% of the principal amount thereof, plus accrued interest to the date fixed for redemption. If less than an entire year's maturity of Bonds are to be redeemed at any particular time, such Bonds so to be called for redemption shall be chosen by lot by the Trustee.

Mandatory Redemption

Bonds stated to mature on December 1, 2036 (the "Term Bonds"), are subject to mandatory redemption prior to maturity, as required by the Indenture, on December 1 of each applicable year shown below, by application of money in the Sinking Fund established under the Indenture upon payment of the principal amount thereof, plus accrued interest to the date fixed for redemption.

If less than all Bonds of any one maturity are to be redeemed, such Bonds or a portion thereof shall be drawn by lot by the Trustee.

Term Bonds due December 1, 2036

Year	Amount
2035	$6,245,000
2036	3,055,000*

* Maturity

Notice of Redemption

Whenever the Authority shall determine to redeem all or part of the Bonds, or whenever the Trustee shall be required to redeem any Bonds out of any sinking or analogous fund established therefor, a notice of intention to redeem will be given by first class mail (postage prepaid) to the registered owners of the Bond to be redeemed at

least 30 days before the redemption date. Failure to mail any such notice or any defect in the notice or in the mailing of the notice will not affect the validity of any proceedings for the redemption of Bonds for which notice shall be given. No further interest will accrue on the principal of any Bonds called for redemption after the redemption date if payment of the redemption price thereof has been duly provided for and notice of redemption has been duly given, and the registered owners of such Bonds will have no rights with respect to such Bonds except to receive payment of the redemption price thereof and unpaid interest accrued to the date fixed for redemption.

SECURITY FOR THE BONDS

General

The Bonds are secured under the Indenture by the assignment of pledge of certain funds and accounts established under the Indenture, if necessary. In addition, the sole sources of payment of the Bonds are (i) the debt service payments from the Authority to the Trustee payable under the Indenture; (ii) the Funds established under the Indenture (other than the amounts held thereunder and reserved for the payment of Rebatable Arbitrage to the United States, if any); (iii) the Receipts and Revenues of the Water System (as defined in the Indenture such term excludes money derived from Tapping Fees, money derived from the deposit by developers of a security deposit or application fee and Receipts from Assessments, all as more particularly described in the Indenture), net of Administrative Expenses and Operating Expenses; and (iv) other moneys as may be made available for such purpose, as set forth in the Indenture. Notwithstanding the foregoing, the Bonds shall not be entitled to any assignment, pledge or benefit of any funds or accounts available from guarantees with respect to other bonds outstanding under the Indenture. The Indenture also permits the funding of a debt service reserve fund as additional security for certain Water Revenue Bonds. THE BONDS WILL NOT BE ENTITLED TO THE BENEFIT OR SECURITY OF THE DEBT SERVICE RESERVE FUND.

Other Parity Indebtedness

The Bonds are a series of Water Revenue Bonds and constitute a series of Additional Bonds under the provisions of the Indenture. The Authority previously issued its Guaranteed Water Revenue Bonds, Series of 2003, which are outstanding in the principal amount of $1,214,132 (the "2003 Bonds"), the 2011 Bonds, which will be refunded in full with the proceeds of the Bonds and its Water Revenue Bonds, Series of 2015, which are outstanding in the principal amount of $24,355,000 (the "2015 Bonds").

The Bonds, the 2003 Bonds, the 2015 Bonds and any Additional Bonds issued under the provisions of the Indenture are secured by a parity lien on the Receipts and Revenues of the Water System under the terms of the Indenture.

On January 20, 2010, the Authority entered into a Funding Agreement with the Pennsylvania Infrastructure Investment Authority ("Pennvest") pursuant to which Pennvest agreed to make a loan to the Authority in the original principal amount of $6,327,630 (the "Pennvest Loan"). The Authority's obligations to Pennvest are secured by a lien on the Receipts and Revenues of the Water System and are outstanding in the principal amount of $3,639,903.

Concurrently with the issuance of the Bonds, the Authority will enter into an Intercreditor Agreement with the Trustee and Pennvest pursuant to which the parties thereto will confirm that the Bonds, the 2003 Bonds, the 2015 Bonds and the Pennvest Loan all share a parity lien on the Receipts and Revenues of the Water System.

Rate Covenant

The Authority has covenanted in the Indenture that water rentals, rates and charges imposed pursuant to the resolution or resolutions in effect at the time shall be at least such that the estimated amounts to be received by the Authority therefrom, and together with money otherwise estimated to be available under provisions of the Indenture for the purposes, will be sufficient to:

A. Pay the reasonable Administrative Expenses, as such phrase is defined in the Indenture, of the Authority in connection with the Water System (as defined in the Indenture) and in connection with Bonds issued under the Indenture, in each Fiscal Year, as such phrase is defined in the Indenture, to the extent that the same shall not otherwise be provided for under the Indenture;

B. Pay the reasonable Operating Expenses, as such phrase is defined in the Indenture, of the Authority, in each such Fiscal Year, to the extent that the same shall not otherwise be provided for under the Indenture;

C. Provide an amount in each Fiscal Year, beginning with the Fiscal Year ending December 31, 2020, and so long as any Bonds shall remain Outstanding, including the Bonds, at least equal to 110% of the Debt Service Requirements, as such phrase is defined in the Indenture, in such Fiscal Years, on all Bonds then Outstanding, to the extent that such Debt Service Requirements shall not otherwise be provided for under the Indenture; and

D. Provide an amount in each Fiscal Year in which any Bonds (as such phrase is defined in the Indenture) shall be Outstanding, beginning in the first such Fiscal Year in which Debt Service Requirements on such Bonds shall be payable, at least equal to 110% of such Debt Service Requirements, in such Fiscal Year, on such Bonds, then outstanding, plus any mandatory payments, if any, required to be made in such Fiscal Year to any Fund (as defined in the Indenture and any supplement thereto in accordance with provisions thereof), to the extent that such Debt Service Requirements or such mandatory payments otherwise shall not be provided for under the Indenture or a supplement thereto.

Limited Obligations

The Bonds are limited obligations of the Authority, and the principal of, redemption premium, if any, and the interest on the Bonds are payable solely from (i) the debt service payments from the Authority to the Trustee payable under the Indenture from revenues of the Authority; (ii) the Funds established under the Indenture (other than the Rebate Fund); and (iii) other moneys as may be made available for such purpose to the extent and in the manner provided in the Indenture. The Bonds are not a debt of the Commonwealth or any political subdivision thereof, and neither the full faith and credit of the Commonwealth nor any political subdivision thereof is pledged to the payment of the principal of or premium, if any, or interest on the Bonds or other costs incident thereto. The Authority has no taxing power.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its

policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of December 31, 2019 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $534.9 million, $132.5 million and $402.4 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

BAM GreenStar Bonds

The Bonds have been designated BAM GreenStar Bonds because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principals (GBPs) developed by the International Capital Markets Association (ICMA). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and is Climate Bond Initiative approved verifier. The Credit Profile prepared by BAM for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings.

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

For projects under construction, the bond obligor has agreed to furnish annual information to BAM on the status of the project until completion, which will be reflected in the BAM Credit Profile for the Bonds.

The BAM GreenStar designation is based upon information obtained by BAM, which information BAM believes to be reliable, at the time of the issuance of the Bonds. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at buildamerica.com/creditinsights/. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at buildamerica.com/obligor/. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

BOND INSURANCE RISK FACTORS

In the event of default of the payment of principal or interest with respect to the Bonds when all or some becomes due, any owner of the Bonds shall have a claim under the applicable Bond Insurance Policy (the Policy) for such payments. However, in the event of any acceleration of the due date of such principal by reason of mandatory or optional redemption or acceleration resulting from default or otherwise, other than any advancement of maturity pursuant to a mandatory sinking fund payment, the payments are to be made in such amounts and at such times as such payments would have been due had there not been any such acceleration. The Policy does not insure against redemption premium, if any. The payment of principal and interest in connection with mandatory or optional prepayment of the Bonds by the Authority which is recovered by the Authority from the bond owner as a voidable preference under applicable bankruptcy law is covered by the insurance policy, however, such payments will be made by the Insurer at such time and in such amounts as would have been due absence such prepayment by the Authority unless the Bond Insurer chooses to pay such amounts at an earlier date.

Under most circumstances, default of payment of principal and interest does not obligate acceleration of the obligations of the Bond Insurer without appropriate consent. The Bond Insurer may direct and must consent to any remedies that the Trustee exercises and the Bond Insurer's consent may be required in connection with amendments to the applicable Agreements or Indenture.

In the event the Bond Insurer is unable to make payment of principal and interest as such payments become due under the Policy, the Bonds are payable solely from the moneys received by the Trustee pursuant to the applicable Agreements. In the event the Bond Insurer becomes obligated to make payments with respect to the Bonds, no assurance is given that such event will not adversely affect the market price of the Bonds or the marketability (liquidity) for the Bonds.

The long-term ratings on the Bonds are dependent in part on the financial strength of the Bond Insurer and its claim paying ability. The Bond Insurer's financial strength and claims paying ability are predicated upon a number of factors which could change over time. No assurance is given that the long-term ratings of the Bond Insurer and of the ratings on the Bonds insured by the Bond Insurer will not be subject to downgrade and such event could adversely affect the market price of the Bonds or the marketability (liquidity) for the Bonds. See description under "Ratings" above.

The obligations of the Bond Insurer are general obligations of the Bond Insurer and in an event of default by the Bond Insurer, the remedies available to the Trustee may be limited by applicable bankruptcy law or other similar laws related to insolvency.

Neither the Authority nor the Underwriters have made independent investigation into the claims paying ability of the Bond Insurer and no assurance or representation regarding the financial strength or projected financial strength of the Bond Insurer is given.

THE WATER SYSTEM

General

The first public supply of water delivered in Reading was introduced in 1821 by the Reading Water Company. The works then consisted of the Hampden Springs, a 2½" earthenware pipe leading to a small covered basin near Eleventh and Court Streets, and wooden pipes in the streets for distributing the water. As the population of the town increased and additional sources of water supply were introduced, all of these earlier pipes were replaced with larger pipes.

In 1865, the City of Reading purchased the entire works of the Reading Water Company for $300,000.00. It consisted of the Hampden Springs, Bernhart, Egelman, and Mineral Spring gravity supplies; 3 basins at Eleventh and Penn Streets, 12 miles of cast iron pipes; 89 fire hydrants, 110 street valves with wooden boxes; and 147 acres of land with improvements.

At present, the water supply for the City of Reading is obtained from a single source. Lake Ontelaunee was constructed in 1926 and is located about 8 miles north of the City. Lake Ontelaunee has a water surface area of 1,082 acres and a capacity of 3.88 billion gallons. The design safe yield is 35 million gallons per day.

Raw lake water is delivered to the Maidencreek Filter Plant by gravity via a 2,800 foot long, concrete lined, 81 inch diameter pressurized tunnel and a 60 inch diameter 4,680 foot long concrete conduit, respectively.

The Maidencreek Filter Plant was constructed in 1935. Additions were made in 1956 and major renovations were made in 1994. The plant's capacity is 35 million gallons per day of treated water. The Centrifuge Plant is located adjacent to the Filter Plant. Its function is to separate sludge solids from its liquid form for disposal at the Authority's landfill.

The treated water from the Maidencreek Filter Plant flows by gravity through four (4) 30 inch siphons. These pipes are laid under Willow Creek to the two 5 million gallon clear water storage basins, then to the Maidencreek Pumping Station.

The Maidencreek Pumping Station capacity is 25 million gallons per day. Its average daily pumping rate is 13.365 million gallons. The water is pumped to the City's distribution system by 3 force mains, consisting of 36", 30" and 24" diameter water mains.

Lease and Operating Agreement

The Authority operates the Water System pursuant to a Lease and Operating Agreement dated June 12, 2017 (the "Lease") which replaced the prior lease agreement and four prior amendments. Pursuant to the Lease, the City of Reading, Berks County, Pennsylvania (the "City") has leased the assets of the Water System to the Authority for a period terminating November 30, 2046. Under the Lease, the Authority manages and operates the Water System and sets water rates. In November 2018, the Lease was Amended and Restated to include a meter surcharge fee, as described below. The Lease, among other things, requires the Authority to obtain City Council approval prior to the incurrence of new debt in excess of $1 million by the Authority.

Under the Lease, the Authority pays monthly lease installments to the City (the "Lease Payments"). In addition, the Authority pays to the City a Meter Surcharge Fee which serves as a direct unrestricted subsidy from the Authority to the City's General Fund. The Meter Surcharge Fee paid to the City is $1,700,000 and is passed through to customers as a specific monthly billing line item. The Lease Payments, paid in equal monthly installments, are funded through Authority water rates and charges, and from time to time, has been increased to assist the City in financing a financial recovery plan by the injection of temporary additional external City General Fund sources. Additionally, in the event that the Authority enters into any new contract to supply new commercial customers with water in an amount in excess of 10% of the current permitted capacity, the Authority shall pay to the City 25% of the net annual revenues generated by the Authority from such contract as a "Bonus Lease Payment."

Beginning with the year 2020, the Lease Payments will be increased annually through 2022 by 1.50%. Beginning with 2023, negotiations with the City will determine the increase, if any, above 1.50% annually. A history of the Lease Payments for prior years is provided in the following table:

Year	Lease Payment to City	Year	Lease Payment to City
2010	$4,270,000	2016	$9,275,000
2011	5,720,000	2017	9,275,000
2012	5,920,000	2018	9,460,500
2013	6,470,000	2019	9,649,410
2014	6,670,000	2020	9,794,456
2015	9,275,000		

Management Agreements

An Executive Director was hired as an employee on September 30, 2016 and continues in this position.

Water Reading Services Agreement

Effective February 1, 2017, the Authority's meter reading service was brought in house and is now performed by Authority employees.

Description of the Service Area

There are approximately 28,171 service connections that service approximately 123,000 people in the following municipalities: City of Reading, portions of Bern Township, portions of Ontelaunee Township, portions of Muhlenberg Township, portions of Cumru Township, portions of Lower Alsace Township, portions of Maidencreek Township, portions of Robeson Township, the Borough of Kenhorst, the Borough of Mt. Penn and the Borough of West Reading. The Authority is also a back-up supply to the Western Berks Water Authority, Shillington Borough, Wyomissing, West Reading and Muhlenberg Township. RAWA has emergency connections to supply water and receive water to other Municipalities.

In the fall of 2018, the Authority began supplying water to the new Birdsboro Power Plant. In order for this Plant to go into operation, the Authority had to clean and reline approximately 4,130 feet of 16" water main. The Authority also had to install roughly 2.5 miles of a new 16" water main. The Authority received approximately $8.5 million in capital cost reimbursements during 2016 through 2019 from Birdsboro Power for these improvements.

The System Facilities

Customers

At the end of 2019, there were over 28,000 connections to the Water System. Of all water delivered, approximately 45.3% is delivered to residential connections, approximately 19% to industrial connections and approximately 19% to commercial connections. Approximately 16.7% of all water delivered is "unaccounted for."

Water Consumption Demand

In 2019, the Authority sold water (metered consumption) to its customers at an average rate of approximately 14,106,129 million gallons per day ("mgd"). The average daily demand -- or water production -- was approximately 14,344,301 mgd.

Source, General

The Authority's Water System is currently served exclusively from the Maidencreek Filter Plant ("MFP"), which has a safe daily yield of 35 million gallons per day. An emergency intake is in place along the Maiden Creek.

Treatment

Complete conventional filtration treatment is employed at MFP, and that level of treatment is expected to continue indefinitely. The MFP is a state-of-the-art facility incorporating such processes as screening, coagulation, flocculation, filtration, PH adjustment, disinfection, corrosion treatment and granular activated carbon absorption.

Permits and Licenses

The Authority and its operations are subject to extensive regulation by governmental authorities. The Authority is required to obtain and maintain permits and licenses from various governmental bodies in order to continue its operations. The Authority maintains a permit for the Water System from the Department of Environmental Protection.

Distribution Facilities

The distribution system consists of 238 miles of water mains, 2,056 fire hydrants and 4,047 valves. The distribution system is divided into three pressure zones (Low, Intermediate and High) with 4 additional pumping stations, 5 chlorine booster stations and 11 treated water reservoirs, with the capacity of 65.52 million gallons of storage.

Pumping operations are automated and controlled by monitoring and security facilities (SCADA) supervisory control system. Pumping is based on water pressure, system demands and water levels in the distribution storage facilities. The Water System includes an office complex, an operations center and garage and maintenance buildings for the Authority's operations.

WATER RATES AND CHARGES

Schedule of Water Rates

In May 2011, all Authority rates and charges, including those for water consumption, meter fees, meter surcharges and all other services, such as abandonment fees, service restoration fees and meter tampering fees, exempting only Tapping Fees, were increased by 12%. In January 2012, water rates were increased 13.5% (includes 3% annual). In addition, under the Authority's current rate resolutions, water rates increased by 3% on January 1, 2013, 2014 and 2015 and will increase annually by 3% without further action by the Authority. The Authority adopted a rate increase of 18% (includes 3% annual) for 2016. The Authority anticipates adopting no increase to be effective not later than January 1, 2017, January 1, 2018, January 1, 2019 and January 1, 2020. Authority rates are not subject to review or approval of the Pennsylvania Public Utility Commission or any other entity with authority to review or approve rates.

The rates set forth in the tables below reflect rates in effect since January 1, 2017.

Service Charges

Meter Size	Water	Sewer
0.62”	$18.60	$31.29
0.75”	33.97	42.73
1.00”	78.05	63.09
1.25”	122.22	80.00
1.50”	139.77	113.99
2.00”	230.27	175.06
3.00”	448.80	317.60
4.00”	556.88	521.19
6.00”	1,099.55	1,030.19
8.00”	2,737.23	1,641.00
10.00”	4,264.41	2,353.59

Service Charges for Fire Connections

Meter Size	Water	Sewer
2.00”	$74.47	$0.00
3.00”	110.54	0.00
4.00”	184.92	0.00
6.00”	338.64	0.00
8.00”	499.47	0.00
10.00”	657.97	0.00

Consumption Charges 0.62” Meter

	Water	Sewer
Per 1,000 Gallons	$6.68	$9.55

Consumption Charges 0.75” to 10” Meters

	Water	Sewer
Per 1,000 gallons		
First 750,000 Gallons	$8.2146	$10.18
Next 3,000,000 Gallons	7.1812	8.14
Over 3,750,000 Gallons	6.0682	7.68

TEN LARGEST USERS - 2019

The Authority's ten largest commercial and industrial customers for 2019 are listed below along with billing amounts as of December 31, 2019.

	2019 Current Usage	2019 Billing Amount
1. Ontelaunee Power Operating LLC	847,591,610	$1,842,079
2. Birdsboro Power Plant	492,320,000	1,749,017
3. United Corrstack LLC	271,902,697	2,924,462*
4. Carpenter Technology	188,342,404	1,430,590
5. Sweet Street Desserts	74,014,429	651,195
6. Sealed Air Corp AP	41,894,758	383,362
7. Ontelaunee Twp Mun	38,814,069	278,545
8. ARATEX Services	38,772,449	325,724
9. Reading Housing Authority	34,808,588	307,882
10. Bern Twp Muni Auth	29,475,500	94,955
Total of Ten Largest Customers	1,996,296,385	$9,584,975

Source: Authority Officials.

*Includes previously uncollected revenues for usage.

SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

Introduction

The Indenture provides for the issuance of Additional Bonds of the Authority. Additional Bonds may constitute Water Revenue Bonds, secured by a pledge of Receipts and Revenues from the Water System and/or Water Assessment Bonds. The principal of, premium, if any and interest on the Water Assessment Bonds, which may be authorized for issuance under the Indenture, from time to time, are payable only from "Receipts from Assessments" and from the receipts, revenues and moneys of the Authority available for such purposes, as provided in the Indenture. Water Assessment Bonds which may be authorized for issuance under the Indenture, from time to time, and Water Revenue Bonds which are or, from time to time, may be authorized for issuance under Indenture, including the Bonds, are not equally and ratably secured by the Indenture. Except as otherwise provided in the Indenture, all Water Revenue Bonds, *inter se*, shall be equally and ratably secured by the Indenture.

The Bonds are a series of Water Revenue Bonds and constitute a series of Additional Bonds under the provisions of the Indenture. Under the Indenture, a number of special funds are created and provisions made for the deposit, investment and withdrawal of money from said funds. All Water Revenue Bonds issued under the Indenture are equally and ratably secured; provided, however, that Additional Bonds are entitled to be secured by the Debt Service Reserve Fund only to the extent provided in the authorizing supplemental indenture. THE BONDS WILL NOT BE ENTITLED TO THE BENEFIT OR SECURITY OF THE DEBT SERVICE RESERVE FUND. The Indenture defines certain rights of the registered owners of the Water Revenue Bonds in the event of a default on the part of the Authority.

A SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE FOLLOWS. IT IS QUALIFIED IN ALL RESPECTS BY SPECIFIC REFERENCE TO THE INDENTURE, A COPY OF WHICH MAY BE REVIEWED AT THE OFFICES OF THE AUTHORITY OR THE TRUSTEE. CAPITALIZED TERMS AND PHRASES NOT OTHERWISE DEFINED HEREIN SHALL HAVE THE MEANING ASCRIBED TO THEM IN THE INDENTURE.

2020 Clearing Fund

The proceeds of the 2020 Bonds shall be deposited upon settlement into the 2020 Clearing Fund established under the Indenture (the "2020 Clearing Fund") and shall be disbursed for the purposes and in the amounts as provided in the Indenture. Money from time to time in the 2020 Clearing Fund shall be held by the Trustee, in trust, and shall be secured and applied as provided in the Indenture. Pending such application, the money will be subject to a lien and charge in favor of the Registered Owners of the 2020 Bonds.

2020 Debt Service Fund

On or before each May 15, and on or before each November 15, commencing May 15, 2020 so long as any Bonds shall remain Outstanding, the Trustee is required to deposit in the 2020 Debt Service Fund from the 2020 Clearing Fund an amount sufficient to pay the installment of interest and one-half the installment of principal payable on all 2020 Bonds Outstanding as and when due or payable upon maturity or mandatory redemption, on the next succeeding June 1 or December 1 as appropriate. The Trustee will apply the moneys on deposit in the 2020 Debt Service Fund for the timely payment of principal and interest on all the 2020 Bonds.

Money held in the 2020 Debt Service Fund, including the Series of 2020 Sinking Fund, are pledged irrevocably for the payment of principal and interest on the Water Revenue Bonds.

Investment of Funds

Under the provisions of the Indenture, money in the 2020 Clearing Fund and the 2020 Debt Service Fund, shall be wholly or partially invested and reinvested by the Trustee at the direction of the Authority in investments authorized under the Act.

Securities purchased with money from any Fund shall be a part of such Fund, and interest and income received from such securities and any profits realized or losses sustained upon disposition thereof shall be considered, except as otherwise stated in the Indenture, a part of or charge against the appropriate Fund, as applicable.

Additional Bonds

The Authority may issue Additional Bonds, from time to time, for the purposes of paying Costs, Costs of Acquisition or Costs of Construction relating to completion of any Authorized Project, or of paying Costs, Costs of Acquisition or Costs of Construction of Capital Additions, including, in each case, reimbursement of expenditures made by it, or paying any indebtedness incurred by it for such purposes; and the Trustee shall authenticate and shall deliver such Additional Bonds, but only upon receipt and satisfaction, of the requirements set forth in the Indenture.

The Authority may issue Additional Bonds, from time to time, for the purpose of providing all or part of funds necessary to refund, through purchase, payment or redemption, all or any part of the then Outstanding Water Assessment Revenue Bonds that are so subject to being refunded and/or all or any part of the then Outstanding Water Revenue Bonds that are so subject to being refunded, including, in each case, all or any part of costs or expenses incidental to such purchase, payment or redemption and financing and including redemption premiums, if any; and the Trustee shall authenticate and deliver such Additional Bonds, but only upon receipt and satisfaction, of the requirements set forth in the Indenture.

Defaults and Remedies

The Act and the Indenture provides remedies to the registered owners of the Bonds in the event of default or failure on the part of the Authority to fulfill its covenants.

Under the Indenture, in the event of any such default as therein defined, the Trustee may enforce, and upon the written request of the Registered Owners of at least 25% in aggregate principal amount of all the Bonds then Outstanding under the Indenture accompanied by indemnity as provided in the Indenture shall enforce, for the benefit of all Registered Owners, all rights provided under the Indenture and said Act, including bringing suit upon all the Bonds Outstanding under the Indenture and protecting and enforcing by mandamus or other suit, action or proceeding at law or in equity all rights of Registered Owners and of having a receiver appointed.

According to the Act, neither the Trustee nor any receiver, however, may sell, assign, mortgage or otherwise dispose of any assets of the Authority. For a more complete statement of rights and remedies of the Bondholders and of the limitations thereon, reference is made to the Indenture.

Application of Revenues Following Default

Amounts including Receipts and Revenues from the Water System, at any time received by the Trustee or the receiver, if any, under the Indenture upon an Event of Default, except as may be provided under the Indenture, shall be applied in the following order:

First: To payment of compensation and expenses of the Trustee and the receiver, if any, including reasonable counsel fees, to payment of costs and disbursements allowed by the court, if there shall be court action, and to payment of advances made by the Trustee or the receiver, if any, together with interest thereon at a rate of interest per annum equal to the prime rate then maintained at Manufacturers and Traders Trust Company, or if Manufacturers and Trader Trust Company is no longer in existence, then at a rate of interest equal to the prime rate as published in the Wall Street Journal; provided, however, that such payments shall be made only to the extent that the same, in the opinion of the Trustee or the receiver, if any, properly and equitably should be paid from amounts received by the Trustee pursuant to Article XI of the Indenture, rather than from Receipts from Assessments under the Indenture, in accordance with the intent and purposes of the Indenture;

Second: To payment of Operating Expenses;

Third: To retain such further sum as may be sufficient to reimburse and indemnify the Trustee or the receiver, if any, against any liability, loss or damage on account of any matter or thing done in good faith and in pursuance of duties hereunder; provided, however, that such sums shall be retained only to the extent that the same, in the opinion of the Trustee or the receiver, if any, properly and equitably should be provided for from amounts received by the trustee under the Indenture upon an Event of Default, rather than from Receipts from Assessments under the Indenture, in accordance with the intent and purposes of the Indenture;

Fourth: To payment of the whole amount of principal, interest, accreted interest and maturity value (as applicable) which then shall be due and unpaid upon Bonds, and in case such amounts shall be insufficient to pay, in full, the whole sums so due and unpaid, then to payment of such principal and interest ratably, without preference or priority of principal over interest, or of interest over principal or of any installment of interest over any other installment of interest; and

Fifth: Provided all amounts payable to the Bond Insurer under the Indenture have been paid, to payment of the surplus, if any, to the City first (to the extent that any amounts are due and payable by the Authority to City pursuant to a Reimbursement Agreement entered into in connection with the Authority's Guaranteed Water Revenue Bonds, Series of 2003) and thereafter to the Authority, or to whoever lawfully shall be entitled to receive the same, or as a court of competent jurisdiction may direct.

Discharge of the Indenture

The lien of the Indenture may be terminated by the Authority by depositing with the Trustee funds sufficient for payment of redemption of the principal of and interest on all the Bonds Outstanding under the Indenture to the date of maturity or redemption prior to maturity in accordance with the conditions set forth in the Indenture. Such requirements may be satisfied by deposit with the Trustee of a sum of money, which together with interest to be earned thereon from investments which constitute direct obligations of the United States of America, is sufficient to pay the principal of and interest on all the Bonds Outstanding under the Indenture.

Covenants of the Authority

The Authority covenants, among other things, that at all times it will:

(a) maintain the Water System in good repair and operating condition;

(b) continuously operate the same; and

(c) make all necessary and proper repairs, renewals, replacements and improvements thereto in order to maintain adequate service.

The Authority also covenants that it will maintain adequate insurance with respect to the Water System against such risks, including public liability and property damages, and in such amounts are usually carried on or with respect to like properties.

LABOR RELATIONS

Contracts between the American Federation of State, County and Municipal Employees ("AFSCME") with the Authority's rank and file covering 53 employees will expire on December 31, 2022 and with its foreman covering 13 employees will expire on December 31, 2023.

EMPLOYEE RETIREMENT PLAN

In 2011, the Authority adopted a retirement plan covering salary deferral for those employees who meet the eligibility requirements set forth in the plan. The amount of the contribution for salary deferral is at the discretion of the employee, subject to the provisions of Section 457(b) of the Internal Revenue Code. Under terms of the plan, the Authority may make discretionary matching contributions. The Authority reflects its contributions to the plan as an operating expense. For the years ended December 31, 2018 and 2017, $109,429 and $100,229, respectively, was contributed to the plan.

FUTURE FINANCING

The Authority does not anticipate any long-term (non-refunding) financing with respect to the Water System within the next five years.

LITIGATION

There is no litigation of any nature pending or, to the knowledge of the Authority, threatened against the Authority as of the date of this Official Statement to restrain or enjoin the issuance, sale, execution or delivery of the Bonds or in any way contesting the validity of the Bonds, or any proceedings of the Authority taken with respect to the issuance or sale thereof. At the time of delivery of the Bonds, the Authority and its Solicitor will furnish a certificate to the effect that no such litigation is then pending or, if such litigation is pending, an opinion of legal counsel satisfactory to the Underwriters will be delivered to the effect that such litigation is without legal merit.

TAX MATTERS

Federal Income Tax Treatment of the Bonds

Interest on the Bonds is includible in gross income for federal income tax purposes.

Additional Federal Income Tax Considerations Relating to the Bonds

The following is a summary of certain anticipated federal income tax consequences of the purchase, ownership and disposition of the Bonds. The summary is based upon the provisions of the Internal Revenue Code of 1986, as amended (the "Code"), the regulations promulgated thereunder and the judicial and administrative rulings and decisions now in effect, all of which are subject to change, possibly with retroactive effect, or differing interpretations. This summary does not purport to address all aspects of federal income taxation that may affect particular investors in light of their individual circumstances, nor certain types of investors subject to special treatment under the federal income tax laws, including but not limited to financial institutions, insurance companies, dealers in securities or currencies, persons holding a Bond as a hedge against currency risks or as a position in a "straddle" for tax purposes, or persons whose functional currency is not the United States dollar. This summary focuses primarily on investors who will hold the Bonds as "capital assets" (generally, property held for investment within the meaning of Code Section 1221), but much of the discussion is applicable to other investors. Potential purchasers of the Bonds should consult their own tax advisors in determining the federal, state or local tax consequences to them of the purchase, ownership and disposition of the Bonds.

Taxability of Stated Interest and Principal of Bonds. In general, interest payable to holders of Bonds who are not exempt from federal income tax will be treated as ordinary income, in the year paid, in the case of cash basis taxpayers, or the year accrued, in the case of accrual basis taxpayers. Principal payments on the Bonds, other than those attributable to any market discount, will be treated as a return of capital.

Acquisition Premium. The holder of a Bond will be treated as having amortizable bond premium to the extent (if any) by which the holder's initial basis in the Bond exceeds the outstanding principal amount of the Bond. Provided that the holder makes an election under Section 171 of the Code (or made such an election after October 22, 1986), the amount of any amortizable bond premium may be amortized over the term of the Bond and treated as a reduction of such holder's taxable interest income from the Bond each year, in which case the holder's basis in the Bonds will be reduced by the amortized amount.

The election under Section 171 of the Code to amortize bond premium applies to all taxable debt obligations then owned and thereafter acquired by a holder of a Bond, and may be revoked only with the consent of the Internal Revenue Service. HOLDERS SHOULD CONSULT THEIR OWN TAX ADVISORS REGARDING THE ADVISABILITY OF MAKING AN ELECTION TO DEDUCT AMORTIZABLE BOND PREMIUM AND THE APPROPRIATE METHOD OF MAKING SUCH AN ELECTION.

Market Discount. A holder who purchases a Bond from a prior holder for a price below the adjusted issue price of the Bond (which generally will equal the remaining principal amount of such Bond) will, subject to certain de minimis rules, be treated as having purchased the Bond for a market discount. The amount of any market discount will be deemed to accrue over the remaining maturity of the Bond on a ratable basis each day unless the holder elects to accrue the market discount in accordance with the constant yield to maturity method of accounting, and will have to be taken into account by the holder of a Bond as ordinary income for federal income tax purposes. Accrued market discount generally only has to be taken into account as ordinary income as principal payments are received, or upon the recognition of gain from the disposition of the Bonds, provided that the holder may elect to include market discount in income as it accrues.

A holder of a Bond acquired at a market discount may also be required to defer, until the maturity date of such Bond or its earlier disposition in a taxable disposition, the deduction of a portion of interest that the holder paid or accrued on indebtedness incurred or maintained to purchase or carry the Bonds. This deferral rule does not apply if the holder of such Bond elects to include the market discount in income for the tax years to which it relates. Prospective purchasers who intend to purchase Bonds from an existing holder at a market discount should consult their own tax advisors regarding the inclusion of market discount in taxable income as ordinary income, the election to include market discount in income as it accrues, and the possible deferral of a portion of the interest deductions attributable to indebtedness incurred or maintained to purchase or carry Bonds purchased at a market discount.

Sale or Redemption of the Bonds. A holder of a Bond's tax basis for such Bond is the price such holder pays for the Bond, increased by any accruals of market discount, if applicable, and reduced by (a) payments received other than "qualified periodic interest" and (b) amortized bond premium. Gain or loss recognized on a sale, exchange or redemption of a Bond, measured by the difference between the amount realized and the Bond's basis as so adjusted, will generally give rise to capital gain or loss if the Bond is held as a capital asset. Defeasance of the Bonds may result in a reissuance thereof, in which event a holder will also recognize taxable gain or loss as discussed in the previous sentence. In the case of a subsequent holder, a portion of any gain will generally be treated as ordinary income to the extent of any market discount accrued to the date of disposition which was not previously reported as ordinary income.

Medicare Tax. Under the "Health Care and Education Reconciliation Act of 2010," income from the Bonds may also be subject to a new 3.8 percent "medicare tax" imposed for taxable years beginning after 2012. This tax will generally apply to your net investment income if your modified adjusted gross income exceeds certain threshold amounts, which are $250,000 in the case of married couples filing joint returns, $125,000 in the case of married individuals filing separately, and $200,000 in the case of single individuals.

Backup Withholding. A holder of a Bond may, under certain circumstances, be subject to "backup withholding" at a specified rate prescribed in the Code with respect to interest on the Bonds. This withholding generally applies if the holder of a Bond (a) fails to furnish the Paying Agent with its taxpayer identification number ("TIN"): (b) furnishes the Paying Agent an incorrect TIN; (c) fails to report properly interest, dividends or other "reportable payments" as defined in the Code, or (d) under certain circumstances, fails to provide the Paying Agent or its securities broker with a certified statement, signed under penalty of perjury, that the TIN provided is his correct number and that the holder is not subject to backup withholding. Backup withholding will not apply, however, with respect to payments made to certain holders of Bonds, including payment to certain exempt recipients (such as certain exempt organizations) and to certain Nonresidents (as defined below). Owners of the Bonds should consult their tax advisors as to the qualification for exemption from backup withholding and the procedure for obtaining the exemption.

The Paying Agent will report to the holders of Bonds and to the IRS for each calendar year the amount of any "reportable payments" during such year and the amount of tax withheld, if any, with respect to payments on the Bonds.

Foreign Holders. Under the Code, interest with respect to Bonds held by nonresident alien individuals, foreign corporations or other non-United States persons ("Nonresidents") generally will not be subject to the United States backup withholding tax if the Paying Agent (or other person who would otherwise be required to withhold tax from such payments) is provided with an appropriate statement that the beneficial owner of a Bond is a Nonresident. Under present United States federal income tax law, if you are a non-United States holder of a Bond the Paying Agent will not be required to deduct United States income withholding tax from payments of principal and interest to you if, in the case of interest, (a) in general, you are not a bank or controlled foreign corporation that is related to the issuer through stock ownership, and (b) you provide to the Paying Agent or a U.S. payor, a Form W-8BEN, Certificate of Foreign Status of Beneficial Owner for United States withholding, signed under penalties of perjury, that you are not a United States holder and provide your name and address and such other certificates as may be necessary to support the facts under (a). The withholding tax, if applicable, may be reduced or eliminated by an applicable tax treaty. However, interest that is effectively connected with a United States business conducted by a Nonresident holder of a Bond will generally be subject to the regular United States income tax.

INVESTORS WHO ARE NONRESIDENTS SHOULD CONSULT THEIR TAX ADVISORS REGARDING THE SPECIFIC TAX CONSEQUENCES TO THEM OF OWNING BONDS.

THE FOREGOING SUMMARY AS TO BONDS IS NOT INTENDED AS AN EXHAUSTIVE RECITAL OF THE POTENTIAL TAX CONSEQUENCES OF OWNING THE BONDS. PROSPECTIVE PURCHASERS OF THE BONDS SHOULD CONSULT THEIR TAX ADVISORS WITH RESPECT TO THE FEDERAL, STATE AND LOCAL TAX CONSEQUENCES OF OWNING THE BONDS. BOND COUNSEL WILL NOT DELIVER ANY OPINION WITH RESPECT TO ANY FEDERAL TAX CONSEQUENCES OF OWNING THE BONDS AND WILL NOT DELIVER ANY OPINION AS TO STATE OR LOCAL TAX CONSEQUENCES EXCEPT FOR THE MATTERS SET FORTH UNDER THE CAPTION "STATE TAX MATTERS" BELOW.

State Tax Matters

In the opinion of Bond Counsel under the laws of the Commonwealth, the Bonds and interest on the Bonds shall be free from taxation for State and local purposes within the Commonwealth, but this exemption shall not extend to gift, estate, succession or inheritance taxes or any other taxes not levied directly on the Bonds or the interest thereon. Under the laws of the Commonwealth, profits, gains or income derived from the sale, exchange or other disposition of the Bonds are subject to State and local taxation within the Commonwealth of Pennsylvania.

THE ABOVE SUMMARY OF POSSIBLE TAX CONSEQUENCES IS NOT EXHAUSTIVE OR COMPLETE. ALL PURCHASERS OF THE BONDS SHOULD CONSULT THEIR TAX ADVISORS REGARDING THE POSSIBLE FEDERAL, STATE AND LOCAL INCOME TAX CONSEQUENCES OF OWNERSHIP OF THE BONDS. ANY STATEMENTS REGARDING TAX MATTERS HEREIN CANNOT BE RELIED UPON BY ANY PERSON TO AVOID TAX PENALTIES.

CONTINUING DISCLOSURE UNDERTAKING

In accordance with the requirements of 15c2-12 (the "Rule") promulgated by the Securities and Exchange Commission ("SEC"), the Authority will execute and deliver a written continuing disclosure certificate with respect to the Bonds. See the form of the Continuing Disclosure Certificate (the "Certificate") in Appendix F to this Official Statement.

Under the terms of the Certificate, and as reflected in Appendix F, the Authority will undertake to file with the Municipal Securities Rulemaking Board (the "MSRB") financial and other information concerning the Authority including notices of certain enumerated events. The Authority's obligations with respect to continuing disclosure as it relates to the Bonds shall terminate upon the prior redemption or payment in full of the Bonds.

The MSRB has been designated by the SEC to be the central and sole repository for continuing disclosure information filed by issuers of municipal securities since July 1, 2009. Information and notices filed by municipal issuers (and other "obligated persons" with respect to municipal securities issues) are made available through the

MSRB's Electronic Municipal Market Access (EMMA) System, which may be accessed on the internet at http://www.emma.msrb.org.

Existing Continuing Disclosure Filing History

The Authority has entered into continuing disclosure undertakings for previously issued bonds that are currently or have been outstanding during the past five years (collectively, the "Prior Undertakings"). Under the Prior Undertakings, the Authority agreed to provide on an annual basis its audited financial statements, its budgets and certain financial and operational information relating to the Authority. In the previous five years, the Authority failed to comply with certain provisions of the Prior Undertakings, including: (a) the Authority failed to timely file audited financial statements for fiscal year 2016, although a draft audit was filed prior to the deadline, and the Authority failed to provide timely notice of late filing for this instance; and (b) the Authority failed to file certain components of its annual operating data in a timely manner for fiscal years 2014 through and including 2018. The Authority has remedied all instances of non-compliance.

UNDERWRITING

The Bonds are being purchased by the Underwriters from the Authority, in accordance with the terms of the Purchase Contract (the "Purchase Contract") between the Underwriters and the Authority. The purchase price for the Bonds, exclusive of accrued interest, is equal to (i) the par amount of the Bonds of $50,195,000, (ii) less underwriters' discount of $175,682.50. The obligation of the Underwriters to purchase the Bonds is subject to the terms and conditions set forth in the Purchase Contract. The Purchase Contract provides that the Underwriters will purchase all of the Bonds, if any of the Bonds are purchased, and requires the Authority to indemnify the Underwriters against losses, claims, damages and liabilities arising out of any materially incorrect or incomplete statements or information contained in this Official Statement pertaining to the Authority and the descriptions of all agreements to which the Authority is a party.

RBC Capital Markets, LLC has provided the following information for inclusion in this Official Statement: RBC Capital Markets, LLC and their respective affiliates are full service financial institutions engaged in various activities, that may include securities trading, commercial and investment banking, municipal advisory, brokerage and asset management. In the ordinary course of business, RBC Capital Markets, LLC and their respective affiliates may actively trade debt and if applicable equity securities (or related derivative securities) and provide financial instruments (which may include bank loans, credit support or interest rate swaps). RBC Capital Markets, LLC and its affiliates may engage in transactions for its own accounts involving the securities and instruments made the subject of this securities offering or other offering of the Issuer. RBC Capital Markets, LLC and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and publish independent research views in respect of this securities offering or other offerings of the Issuer. RBC Capital Markets, LLC does not make a market in credit default swaps with respect to municipal securities at this time but may do so in the future.

RATINGS

S&P Global Ratings ("S&P") has assigned an underlying rating to the Bonds of "A-" (Stable Outlook).

S&P is also expected to assign a municipal bond rating of "AA" (Stable Outlook) to the Bonds and has done so with the understanding that upon delivery of the Bonds, a Municipal Bond Insurance Policy will be issued by Build America Mutual Assurance Company ("BAM").

Such ratings reflect only the view of the particular rating agency assigning such rating and any desired explanation of the significance of such rating should be obtained from the particular rating agency furnishing the same. Further explanation of the significance of such ratings may be obtained from S&P. The ratings are not a recommendation to buy, sell or hold any of the Bonds. Generally, a rating agency bases its rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance such ratings will continue for any given period of time or that such rating will not be revised downward or withdrawn entirely by S&P's, if in its judgment, circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds. The Authority and the Underwriters have not undertaken any responsibility to maintain any particular rating on the Bonds or to advise owners of the Bonds of any change in the ratings assigned to the Bonds, except that the Authority has agreed to provide notice of rating changes as described herein under the caption "Continuing Disclosure Undertaking".

LEGAL OPINION

The issuance and delivery of the Bonds is subject to the receipt of the approving legal opinion of Stevens & Lee, P.C., Reading, Pennsylvania, Bond Counsel. The proposed form of Bond Counsel Opinion is set forth as Appendix E hereto. Certain legal matters will be passed upon for the Authority by its Solicitor Roland Stock, LLC, Reading, Pennsylvania and for the Underwriters by their counsel, Eckert Seamans Cherin & Mellott, LLC, Harrisburg, Pennsylvania.

MISCELLANEOUS

The information set forth in this Official Statement has been obtained from the Authority and from other sources believed to be reliable. Insofar as any statement herein includes matters of opinion or estimates about future conditions, it is not intended as a representation of fact, and there is no guarantee that it is, or will be, realized. Summaries or descriptions of provisions of the Bonds, the Indenture and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof. Reference is hereby made to the complete documents, copies of which will be furnished by the Authority upon request. The information assembled in this Official Statement is not to be construed as a contract with owners of the Bonds.

If and when included in this Official Statement, the words "expects," "forecasts," "projects," "intends," "anticipates," "estimates," "assumes" and analogous expressions are intended to identify forward-looking statements and any such statements inherently are subject to a variety of risks and uncertainties that could cause actual results to differ materially from those that have been projected. Such risks and uncertainties which could affect the revenues and obligations of the Authority include, among others, changes in economic conditions, mandates from other governments and various other events, conditions and circumstances, many of which are beyond the control of the Authority. Such forward-looking statements speak only as of the date of this Official Statement. The Authority disclaims any obligation or undertaking to release publicly any updates or revisions to any forward-looking statement contained herein to reflect any changes in the Authority's expectations with regard thereto or any change in events, conditions or circumstances on which any such statement is based.

Financial Advisor

The Authority has retained NW Financial Group, LLC, Kenilworth, Pennsylvania as financial advisor (the "Financial Advisor") in connection with the preparation, authorization and issuance of the Bonds. The Financial Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness, or fairness of the information contained in the Official Statement.

Financial Information

Appendix A includes (1) a summary of operations of the Water System prepared from audited financial statements of the Authority for the years ending December 31, 2014 through December 31, 2018; (2) a statement of Revenues, Expenses and Capital Expenditures for the budget years ending December 31, 2019 and December 31, 2020 as prepared by the Authority; and (3) a statement of net assets of the Water Fund prepared from audited financial statements of the Authority for the years ending December 31, 2014 through December 31, 2018.

Appendix B is the Debt Service Schedule on the Bonds.

Appendix C is a description of certain information concerning the economy and demographics of the Authority's service area.

Appendix D includes the Authority's audited financial statements for the year ended December 31, 2018.

The Authority has authorized the distribution of this Official Statement.

READING AREA WATER AUTHORITY,
Berks County, Pennsylvania

By: /s/ Reverend Steven McCracken
Chairman

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APPENDIX A

FINANCIAL SUMMARY

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TABLE A-1
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
(Years ended December 31)

	2014	2015	2016	2017*	2018
OPERATING REVENUES:					
Water Billings	$25,069,812	$26,195,054	$29,622,297	$29,736,140	$29,663,185
Interest and Penalty Charges	489,792	583,221	586,502	472,340	541,209
Tampered Meter and Other Charges	732,964	789,520	591,344	449,933	310,720
Tapping and Connection Fees	102,241	103,322	86,244	177,175	50,610
Abandonment Fees	4,333	14,633	32,001	60,907	20,107
TOTAL OPERATING REVENUES	$26,399,142	$27,685,750	$30,918,388	$30,896,495	$30,585,831
OPERATING EXPENSES:					
Lease Payments, City of Reading	$9,089,655	$11,522,675	$11,441,419	$11,426,339	$11,640,032
Chemical Supplies	1,563,904	1,120,987	1,197,002	746,486	1,051,101
Meter Reading	539,483	539,483	539,483	-	-
Engineering	141,277	66,906	48,347	156,804	212,728
Legal Fees	334,698	319,867	291,985	400,633	314,184
Salaries and Payroll Taxes	4,212,933	4,284,946	4,432,634	4,667,082	4,900,630
Insurance	138,244	140,636	151,568	146,091	283,829
Employee Benefits	1,053,959	1,022,880	1,048,160	1,210,163	1,312,715
Grant Expenditures	276,723	229,424	118,149	74,402	80,094
Utilities	706,626	671,628	565,058	593,650	679,059
Contracted Services	1,439,900	1,482,298	1,089,676	849,520	967,302
Repairs and Maintenance	698,497	579,027	660,613	847,105	917,080
Professional Services	26,000	35,250	28,750	31,550	27,865
Bank Charges	184,822	197,778	280,065	323,014	411,962
Dues and Subscriptions	21,723	42,184	20,170	40,105	33,752
Advertising	319,728	174,157	53,440	48,129	68,490
Education	9,803	6,208	4,970	14,844	7,709
Supplies	347,623	395,338	418,509	400,447	429,308
Bad Debt Expense	90,192	167,199	239,496	99,268	429,678
TOTAL OPERATING EXPENSES	$21,195,790	$22,998,871	$22,629,494	$22,075,632	$23,767,518
OPERATING INCOME BEFORE DEPRECIATION	$5,203,352	$4,686,879	$8,288,894	$8,820,863	$6,818,313
DEPRECIATION AND AMORTIZATION	$2,530,279	$2,943,233	$2,946,682	$3,304,835	$3,872,439
OPERATING INCOME	$2,673,073	$1,743,646	$5,342,212	$5,516,028	$2,945,874
NON-OPERATING REVENUES (EXPENSES):					
Investment Income	$200,409	$557,075	$124,283	$292,510	$538,325
Miscellaneous Income	43,188	96,533	525,368	1,464,438	7,324,040
Interest Expense	(4,441,883)	($4,196,513)	(4,069,636)	(3,993,436)	(3,892,901)
Debt Issuance Costs	-	($297,960)	-	-	-
Miscellaneous Expense	(284,399)	($112,421)	(99,345)	(277,227)	(304,124)
Trash and Recycling Collections, net	531,367	237,408	50,897	52,169	62,746
TOTAL NON-OPERATING REVENUES (EXPENSES)	($3,951,318)	($3,715,878)	($3,468,433)	($2,461,546)	$3,728,086
CHANGE IN NET POSITION	($1,278,245)	($1,972,232)	$1,873,779	$3,054,482	$6,673,960
NET POSITION:					
Beginning of Year	$5,660,047	$4,381,802	$2,409,570	$4,234,334	$7,288,816*
End of Year	$4,381,802	$2,409,570	$4,283,349	$7,288,816	$13,962,776

*As restated.
Source: Authority Annual Financial Reports.

TABLE A-2
BUDGETS FOR YEARS ENDING DECEMBER 31, 2019 AND 2020

	ADOPTED 2019[1]	ADOPTED 2020[2]
OPERATING REVENUES:		
Total Water Billings	$30,263,170	$31,204,147
Total Penalty and Interest Charges	502,000	540,000
Total Tampered Meter & Other Charges	365,680	374,720
Total Tapping and Connection Fees	100,000	115,000
Abandonment Fees	30,000	35,000
Total Trash and Recycling Income	71,000	75,000
Berks Park 78 Fire System	78,864	78,864
Total Interest Income	197,000	620,000
Total Other Income	372,600	785,000
TOTAL OPERATING REVENUES	$31,980,314	$33,827,731
OPERATING EXPENSES:		
City Lease Payment	$11,950,930	$12,917,526
Total Administration	4,078,400	4,406,443
Total Water Collection	935,860	1,081,948
Total Water Purification	3,878,298	4,303,245
Total Water Engineering	-	354,412
Total Water Distribution	4,093,134	3,731,136
North Heidelberg Township	31,550	30,330
Total Berks Park 78 Fire System	56,900	49,274
Total Berks Park 78 Domestic System	15,350	17,361
Total Central Logistics Park	65,150	47,145
Birdsboro	-	2,720
Total Debt Principal	1,963,555	1,903,385
Total Debt Interest	4,986,187	5,041,344
Amortization of Refinancing	(75,000)	(58,538)
TOTAL OPERATING EXPENSES	$31,980,314	$33,827,731
NET CASHFLOW:	$0	$0

(1) Budget adopted November 19, 2018.
(2) Budget adopted December 17, 2019.
Source: Authority Officials.

TABLE A-3
STATEMENT OF NET POSITION

	2014	2015	2016	2017*	2018
ASSETS:					
Current Assets (Unrestricted):					
Cash	$15,717,864	$14,376,069	$15,407,934	$19,136,396	$18,330,441
Accounts Receivable, Water Billings net of allowance	3,250,666	3,350,950	3,695,550	3,866,937	4,002,415
Accounts Receivable, Trash and Recycling Billings net of allowance	1,137,270	1,010,684	37,624	28,426	16,598
Accounts Receivable, Other	81,121	-	-	-	2,129,961
Unbilled Water Usage	918,453	1,075,561	1,210,803	1,015,535	1,170,171
Inventory	199,213	215,376	222,532	283,809	189,543
Prepaid Expenses	216,793	137,811	40,468	40,468	47,068
Total Current Assets, Unrestricted	$21,521,380	$20,166,451	$20,614,911	$24,371,571	$25,886,197
Current Assets (Restricted):					
Developer Escrow Deposits, Cash	$77,800	$141,986	$77,570	$59,565	$30,419
Trust Accounts, Cash and Investments:					
Clearing Account	$74,118	$22,864	$22,881	$21,209	$75,320
Construction Account	21,724,438	16,336,018	11,689,991	3,581,321	1,845,316
Debt Service Account	1,342	101,741	36	21,310	7,264
Debt Service Reserve Account	7,509,853	7,386,954	7,386,586	7,384,320	7,430,691
Total Current Assets (Restricted)	$29,387,551	$23,989,566	$19,177,064	$11,067,725	$9,389,010
Capital Assets:					
Capital Assets Not Being Depreciated, Construction in Progress	$5,987,159	$4,284,146	$10,492,159	$9,902,748	$16,580,441
Capital Assets Being Depreciated:					
Leasehold Improvements	$45,030,425	$49,456,591	$49,836,471	$56,404,007	$58,604,152
Acquired Systems	879,745	879,745	879,745	879,745	879,745
Equipment	8,698,678	9,447,037	9,950,024	10,815,128	11,578,274
Vehicles	2,475,627	2,605,395	2,674,806	2,876,463	2,954,234
Computers and Software	714,614	726,614	835,496	869,566	891,962
	$57,799,089	$63,115,382	$64,176,542	$71,844,909	$74,908,367
Accumulated Depreciation	($13,516,259)	($16,459,492)	($19,406,174)	($22,711,009)	($26,515,258)
	$44,282,830	$46,655,890	$44,770,368	$49,133,900	$48,393,109
Total Capital Assets (Net)	$50,269,989	$50,940,036	$55,262,527	$59,036,648	$64,973,550
Other Asset:					
Leased Land Rights	$1,020,000	$1,020,000	$1,020,000	$1,020,000	$951,810
Deferred Outflows of Resources, Refinancing Loss:	$-	$1,500,668	$1,346,286	$1,197,798	$1,054,979
Total Assets and Deferred Outflows of Resources	$102,198,920	$97,616,721	$97,420,788	$96,693,742	$102,255,546

LIABILITIES:					
Current Liabilities:					
Accounts Payable, Capital	$2,318,141	$498,998	$1,076,056	$432,950	$2,277,733
Accounts Payable, Trade	526,657	276,728	278,930	332,434	768,318
Accrued Payroll, Compensated Absences and Deferred Compensation	496,443	567,245	588,602	658,664	732,885
Accrued Interest Payable	321,640	300,208	303,461	301,130	299,235
Escrow Deposits	77,800	141,986	77,570	59,565	30,419
Other	488	1,318	1,855	3,798	2,255
Due to City of Reading	441,521	70,457	289,680	204,144	23,300
Current Maturities of Long-Term Debt	3,247,525	3,103,859	3,320,390	3,395,152	3,362,113
Total Current Liabilities	$7,430,215	$4,960,799	$5,936,544	$5,387,837	$7,496,258
Long-Term Debt, Less Current Maturities	$90,386,903	$90,246,352	$87,200,895	$84,017,089	$80,796,512
Total Liabilities	$97,817,118	$95,207,151	$93,137,439	$89,404,926	$88,292,770
NET POSITION:					
Net Investment in Capital Assets	$-	$-	($22,222,481)	($27,177,795)	($18,130,096)
Restricted for Debt Service	4,148,621	4,127,420	7,409,503	7,426,839	7,513,275
Unrestricted	233,181	(1,717,850)	19,096,327	27,039,772	24,579,597
TOTAL NET POSITION	$4,381,802	$2,409,570	$4,283,349	$7,288,816	$13,962,776

*As Restated.
Source: Authority Annual Financial Reports.

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APPENDIX B

SERIES 2020 BOND DEBT SERVICE SCHEDULE

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APPENDIX B

READING AREA WATER AUTHORITY
BERKS COUNTY, PENNSYLVANIA

WATER REVENUE BONDS, SERIES OF 2020
DEBT SERVICE SCHEDULE

Dated: Date of Delivery **Due: December 1, as shown below**

Period Ending	Principal	Coupon	Interest	Debt Service	Annual Debt Service
6/1/2020	$-		$224,917.13	$224,917.13	$-
12/1/2020	955,000	1.611%	622,847.43	1,577,847.43	1,802,764.56
6/1/2021	-		615,154.90	615,154.90	-
12/1/2021	575,000	1.661%	615,154.90	1,190,154.90	1,805,309.80
6/1/2022	-		610,379.53	610,379.53	-
12/1/2022	590,000	1.691%	610,379.53	1,200,379.53	1,810,759.06
6/1/2023	-		605,391.08	605,391.08	-
12/1/2023	600,000	1.754%	605,391.08	1,205,391.08	1,810,782.16
6/1/2024	-		600,129.08	600,129.08	-
12/1/2024	610,000	1.817%	600,129.08	1,210,129.08	1,810,258.16
6/1/2025	-		594,587.23	594,587.23	-
12/1/2025	645,000	1.867%	594,587.23	1,239,587.23	1,834,174.46
6/1/2026	-		588,566.15	588,566.15	-
12/1/2026	660,000	1.976%	588,566.15	1,248,566.15	1,837,132.30
6/1/2027	-		582,045.35	582,045.35	-
12/1/2027	640,000	2.076%	582,045.35	1,222,045.35	1,804,090.70
6/1/2028	-		575,402.15	575,402.15	-
12/1/2028	4,690,000	2.209%	575,402.15	5,265,402.15	5,840,804.30
6/1/2029	-		523,601.10	523,601.10	-
12/1/2029	4,785,000	2.309%	523,601.10	5,308,601.10	5,832,202.20
6/1/2030	-		468,358.28	468,358.28	-
12/1/2030	4,635,000	2.359%	468,358.28	5,103,358.28	5,571,716.56
6/1/2031	-		413,688.45	413,688.45	-
12/1/2031	4,745,000	2.439%	413,688.45	5,158,688.45	5,572,376.90
6/1/2032	-		355,823.18	355,823.18	-
12/1/2032	4,755,000	2.539%	355,823.18	5,110,823.18	5,466,646.36
6/1/2033	-		295,458.45	295,458.45	-
12/1/2033	5,930,000	2.609%	295,458.45	6,225,458.45	6,520,916.90
6/1/2034	-		218,101.60	218,101.60	-
12/1/2034	6,080,000	2.659%	218,101.60	6,298,101.60	6,516,203.20
6/1/2035	-		137,268.00	137,268.00	-
12/1/2035	6,245,000	2.952%	137,268.00	6,382,268.00	6,519,536.00
6/1/2036	-		45,091.80	45,091.80	-
12/1/2036	3,055,000	2.952%	45,091.80	3,100,091.80	3,145,183.60
TOTAL	**$50,195,000**		**$15,305,857.22**	**$65,500,857.22**	

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APPENDIX C

CERTAIN INFORMATION CONCERNING THE ECONOMY AND DEMOGRAPHICS OF THE AUTHORITY'S SERVICE AREA

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APPENDIX C

CERTAIN INFORMATION CONCERNING THE ECONOMY AND DEMOGRAPHICS OF THE AUTHORITY'S SERVICE AREA

Location and Character of the City of Reading

The City of Reading, Pennsylvania (the "City") is located 56 miles northwest of the City of Philadelphia and the Delaware Valley Region, one of the leading industrial and trade complexes in the nation. Through numerous federal and state highways and turnpikes, the City is linked to other major metropolitan areas such as New York City (120 miles) and Baltimore (110 miles).

Industry

Principal manufacturers in the County include textile mill products, primary and fabricated metals, machinery, food and kindred products and transportation equipment. The comparative importance of manufacturing as well as the variety of industrial employment opportunities available in the County is illustrated in Table C-5.

Commerce

The downtown area of the City and other locations throughout the County provide shopping areas for residents. A wide variety of goods and services are provided by the retail outlets located in the central city and in outlying suburban areas. Additionally, the downtown and suburban areas provide auxiliary facilities such as theaters, restaurants and various banking, legal and medical services. Supplementing the central shopping area are various commercial centers in the areas surrounding the City, including the Berkshire Mall in the Borough of Wyomissing, the Fairgrounds Square Mall in Muhlenberg Township and the VF Factory Outlets in the Borough of Wyomissing.

Population

Table C-1 shows recent population trends for the City and County and the Commonwealth. Table C-2 shows 2017 (estimated) age composition.

TABLE C-1
RECENT POPULATION TRENDS

Area	2000	2010	Percentage Change 2000-2010
City of Reading	81,207	88,082	7.8%
Berks County	373,638	411,442	10.1%
Pennsylvania	12,281,054	12,702,379	3.43%

Source: U.S. Bureau of the Census, Decennial Census and Pennsylvania State Data Center, General Population and Housing Characteristics: Pennsylvania.

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TABLE C-2
AGE COMPOSITION

Area	0-17 Years	18-64 Years	65+ Years
City of Reading	26,551	53,301	8,423
Berks County	94,476	253,416	67,608
Pennsylvania	2,704,268	7,946,462	2,133,247

Source: U.S. Bureau of the Census, 2013-2017 American Community Survey 5-Year Estimates.

Employment

The table below shows recent trends in labor force, employment and unemployment for Berks County and the Commonwealth of Pennsylvania (the "Commonwealth"). The unemployment rate for the County has been lower than the statewide average during the period shown 2015 - 2018.

TABLE C-3
RECENT TRENDS IN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT

	2015	2016	2017	2018	2019[1]
Berks County					
Civilian Labor Force	212,500	213,300	212,100	212,500	217,400
Employment	202,000	202,700	202,300	203,700	207,800
Unemployment	10,500	10,600	9,800	8,800	9,600
Unemployment Rate	4.9%	5.0%	4.6%	4.2%	4.4%
Commonwealth of Pennsylvania					
Civilian Labor Force	6,421,000	6,453,000	6,427,000	6,424,000	6,542,000
Employment	6,080,000	6,105,000	6,112,000	6,149,000	6,264,000
Unemployment	340,000	348,000	316,000	276,000	279,000
Unemployment Rate	5.3%	5.4%	4.9%	4.3%	4.3%

[1]As of November 2019

Source: Pennsylvania Department of Labor and Industry

The table below shows the distribution of employment for the Reading Metropolitan Statistical Area for the most recent reported month compared to the previous year.

TABLE C-4
DISTRIBUTION OF EMPLOYMENT – NONFARM JOBS
Reading Metropolitan Statistical Area*

	November 2019	November 2018
Total Nonfarm	184,500	182,300
Total Private	162,700	160,400
Goods-Producing	41,100	40,100
Service-Producing	143,400	142,200
Private Service Providing	121,600	120,300

Mining, Logging and Construction	8,100	8,000
Manufacturing	33,000	32,100
Trade, Transportation, and Utilities	34,700	34,500
Information	1,200	1,100
Financial Activities	5,900	6,000
Professional and Business Services	24,600	24,200
Education and Health Services	32,600	31,900
Leisure and Hospitality	14,500	14,600
Other Services	8,100	8,000
Government	21,800	21,900
Federal Government	900	900
State Government	4,300	4,400
Local Government	16,600	16,600

Source: Pennsylvania Department of Labor & Industry
* Nonfarm Jobs – Not Seasonally Adjusted.

TABLE C-5
MAJOR EMPLOYERS IN BERKS COUNTY

Employer	Business Type
East Penn Manufacturing Co., Inc.	Manufacturing
Reading Hospital and Medical Center	Health Services
Carpenter Technology Corp.	Manufacturing
Reading School District	Education
Berks County Government	Government
Wal-Mart Stores	Retail
Boscov's Department Store	Retail
Pennsylvania State Government	Government
Tower Health Medical Group	Health Services
Penske Truck Leasing Company	Transportation Services

Source: Center for Workforce Information & Analysis – 4th Quarter of 2018

Income

The table below shows trends in per capita income for Berks County and the Commonwealth of Pennsylvania over the 2010-2017 (estimated) period. Per capita income in the County is lower than the average per capita in the Commonwealth.

TABLE C-6
RECENT TRENDS IN PER CAPITA INCOME*

	2010	2017	Percentage Change 2010-2017
Berks County	25,384	29,041	14.4%
Pennsylvania	27,049	31,476	16.4%

*Income is defined by the Bureau of the Census as the sum of wage and salary income, non-farm self-employment income, net self-employment income, Social Security and Railroad retirement income, public assistance income, interest, dividends, pensions, etc. before deductions for personal income taxes, Social Security, etc.

Source: U.S. Census Bureau: American Fact Finder.

Miscellaneous Information Regarding the City:

Medical Facilities:	The City and County are served by five medical centers, three medical and dental laboratories, two general hospitals, and five specialized institutions which deal with geriatric patients, mental and tubercular patients, and the physically handicapped.
Higher Educational Institutions:	A variety of institutions of higher learning are located in Reading and Berks County. Included are four degree-granting institutions and a number of business schools. The larger educational institutions in the area are Penn State Berks-Lehigh Valley College, Albright College, Alvernia University and Kutztown University of Pennsylvania which offers master's degrees in business administration, education, library education and various fields of the arts and sciences. Berks County is the sponsoring government for the Reading Area Community College and appoints members to the Board of Trustees. Tower Health and Drexel University have reached an agreement to build a Medical College Campus near Reading Hospital.
Transportation:	Charter and private airliners serve the Reading Regional Airport, and Norfolk Southern Company and several bus lines and trucking concerns provide freight and passenger services to the region. A steadily improving network of local and regional highways and by-passes makes the area accessible to all areas of the eastern seaboard and the City of Harrisburg to the west.

APPENDIX D

AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED DECEMBER 31, 2018

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READING AREA WaterAuthority

A Component Unit of the City of Reading

Financial Statements

December 31, 2018 and 2017

rkl LLP

FOCUSED. ON YOU.

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December 31, 2018 and 2017

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Independent Auditor's Report

To the Members of the Board
Reading Area Water Authority
Reading, Pennsylvania

Report on the Financial Statements

We have audited the accompanying financial statements of the Reading Area Water Authority, Berks County, Pennsylvania, a component unit of the City of Reading, as of and for the years ended December 31, 2018 and 2017, and the related notes to the financial statements, which collectively comprise the Reading Area Water Authority's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

1330 Broadcasting Road, P.O. Box 7008, Wyomissing, PA 19610-6008 Main: 610.376.1595 Fax: 610.376.7340 RKLcpa.com

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Reading Area Water Authority as of December 31, 2018 and 2017, and the changes in its financial position and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Report on Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on Pages 3 to 7 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

RKL LLP

June 27, 2019
Wyomissing, Pennsylvania

The management of the Reading Area Water Authority (the Authority) offers readers of our financial statements the following narrative overview and analysis of our financial activities for the years ended December 31, 2018 and 2017.

Financial Highlights

- Current unrestricted assets exceeded current liabilities by $18,389,939 at the close of the year. This is compared to $18,983,734 and $14,629,352 at the close of the 2017 and 2016 years, respectively.

- Total net position increased by $6,673,960, $3,054,482, and $1,824,764 for the years ended 2018, 2017, and 2016, respectively. The 2018 increase is mainly an increase in miscellaneous income generated from the production of the Birdsboro Power Plant. The 2017 increase is mainly due to an increase in miscellaneous income, and decreases in chemical supply costs, meter reading expense, and contracted services. The 2016 increase is mainly driven by the large increase in water billings as a result of a rate increase in December 2015.

- The Authority had net operating income of $2,945,874 for 2018, compared to net operating income of $5,516,028 and $5,293,197 for 2017 and 2016, respectively.

Basic Financial Statements

Our basic financial statements are prepared on the accrual basis of accounting using an economic resources measurement focus, which is basically the same as what is used for profit businesses in the private-sector. The basic financial statements include a statement of net position, statement of revenues, expenses, and changes in net position, statement of cash flows, and notes to the financial statements.

Statement of Net Position - The statement of net position presents information on the assets, deferred outflow of resources, and liabilities, with the difference between assets and deferred outflow of resources and liabilities reported as net position. The increases and decreases in net position over time may be a useful indicator of the finances of the Authority as to whether it is improving or deteriorating.

Statement of Revenues, Expenses, and Changes in Net Position - The statement of revenues, expenses, and changes in net position of the Authority for the year shows the detail of increase (decrease) in net position being combined with the beginning net position balance, resulting in the ending net position for the year.

Statement of Cash Flows - The statement of cash flows reports cash activities for the year resulting from operating activities, noncapital financing activities, capital and related financing activities, and investing activities. The net result of these activities, added to the beginning of the year cash balance, reconciles to the cash balance at the end of the current year.

Notes to the Financial Statements - The notes to the financial statements provide additional information that is essential to a full understanding of the data provided in the financial statements.

Financial Information

Net Position - The following schedule presents a summary of net position comparison at December 31, 2018, 2017, and 2016:

	2018	2017 (As Restated)	2016 (As Restated)
Assets			
Unrestricted current assets	**$ 25,886,197**	$ 24,371,571	$ 20,614,911
Restricted current assets	**9,389,010**	11,067,725	19,177,064
Capital assets, net	**64,973,550**	59,036,648	55,262,527
Other asset	**951,810**	1,020,000	1,020,000
Deferred Outflow of Resources	**1,054,979**	1,197,798	1,346,286
Total Assets and Deferred Outflow of Resources	**$ 102,255,546**	$ 96,693,742	$ 97,420,788
Liabilities			
Current liabilities	**$ 7,496,258**	$ 5,387,837	$ 5,985,559
Long-term debt	**80,796,512**	84,017,089	87,200,895
Total Liabilities	**$ 88,292,770**	$ 89,404,926	$ 93,186,454
Net Position			
Net investment in capital assets	**$ (18,130,096)**	$ (27,177,795)	$ (22,222,481)
Restricted for debt service	**7,513,275**	7,426,839	7,409,503
Unrestricted	**24,579,597**	27,039,772	19,047,312
Total Net Position	**$ 13,962,776**	$ 7,288,816	$ 4,234,334

Current liabilities increased by 39.1% in 2018 compared to a decrease by 10.0% in 2017 and an increase by 20.7% in 2016. The 2018 increase is attributable to increases in capital accounts payable.

Revenues - The following schedule presents a summary of revenues for the years ended December 31, 2018, 2017, and 2016:

	2018	2017	2016
Operating Revenues			
Water billings	**$ 29,663,185**	$ 29,736,140	$ 29,622,297
Interest and penalty charges	**541,209**	472,340	586,502
Tampered meter and other charges	**310,720**	449,933	591,344
Tapping and connection fees	**50,610**	177,175	86,244
Abandonment fees	**20,107**	60,907	32,001
Total Operating Revenues	**$ 30,585,831**	$ 30,896,495	$ 30,918,388

The 2018 fiscal year's total operating revenue decreased by 1.0% compared to 2017, and decreased by 0.1% and increased by 11.7% in 2017 and 2016, respectively.

Financial Information (continued)

Expenses - The following schedule presents a summary of expenses for the years ended December 31, 2018, 2017, and 2016:

	2018	2017 (As Restated)	2016 (As Restated)
Operating Expenses			
Lease payments, City of Reading	**$ 11,640,032**	$ 11,426,339	$ 11,441,419
Chemical supplies	**1,051,101**	746,486	1,197,002
Meter reading	**-**	-	539,483
Salaries, payroll taxes, and employee benefits	**6,213,345**	5,877,245	5,529,809
Contracted services	**967,302**	849,520	1,089,676
Other	**3,895,738**	3,176,042	2,881,120
Total Operating Expenses	**$ 23,767,518**	$ 22,075,632	$ 22,678,509

The $1,691,886 increase in expenses is primarily the result of the increase in chemical supplies, salaries, payroll taxes and employee benefits, and bad debt expense.

Changes in Net Position - The following schedule presents a summary of changes in net position for the years ended December 31, 2018, 2017, and 2016:

	2018	2017 (As Restated)	2016 (As Restated)
Operating revenues	**$ 30,585,831**	$ 30,896,495	$ 30,918,388
Operating expenses	**23,767,518**	22,075,632	22,678,509
Operating Income before Depreciation	**6,818,313**	8,820,863	8,239,879
Depreciation and amortization	**3,872,439**	3,304,835	2,946,682
Operating Income	**2,945,874**	5,516,028	5,293,197
Nonoperating revenues (expenses), net	**3,728,086**	(2,461,546)	(3,468,433)
Increase in Net Position	**$ 6,673,960**	$ 3,054,482	$ 1,824,764

Financial Information (continued)

Changes in Net Position (continued)

	Beginning Balance (As Restated)	Increase (Decrease)	Ending Balance
Net investment in capital assets	**$ (27,177,795)**	**$ 9,047,699**	**$ (18,130,096)**
Restricted for debt service	**7,426,839**	**86,436**	**7,513,275**
Unrestricted (deficit)	**27,039,772**	**(2,460,175)**	**24,579,597**
Total Net Position	**$ 7,288,816**	**$ 6,673,960**	**$ 13,962,776**

Statement of Changes in Net Position
Year Ended December 31, 2017

	Beginning Balance (As Restated)	Increase (Decrease) (As Restated)	Ending Balance (As Restated)
Net investment in capital assets	$ (22,222,481)	$ (4,955,314)	$ (27,177,795)
Restricted for debt service	7,409,503	17,336	7,426,839
Unrestricted (deficit)	19,047,312	7,992,460	27,039,772
Total Net Position	$ 4,234,334	$ 3,054,482	$ 7,288,816

Statement of Changes in Net Position
Year Ended December 31, 2016

	Beginning Balance	Increase (Decrease) (As Restated)	Ending Balance (As Restated)
Net investment in capital assets	$ (24,573,489)	$ 2,351,008	$ (22,222,481)
Restricted for debt service	7,511,562	(102,059)	7,409,503
Unrestricted (deficit)	19,471,497	(424,185)	19,047,312
Total Net Position	$ 2,409,570	$ 1,824,764	$ 4,234,334

Capital Assets

The Authority's investment in capital assets includes leasehold improvements, acquired systems, equipment, vehicles, computers and software, and construction in progress. Major additions are funded by the issuance of water revenue bonds and notes or funds held in the Authority's construction accounts.

Capital Assets (continued)

The Authority's capital assets as of December 31, 2018, 2017, and 2016, net of accumulated depreciation, amounted to $64,973,550, $59,036,648, and $55,262,527, respectively. For the year ended December 31, 2018, this amount represents a net increase (including additions, deletions, and depreciation) of $5,936,902 from the prior year. See Note 7 for more information on capital assets.

Capital Assets at December 31
(Net of Accumulated Depreciation)

	2018	2017	2016
Leasehold improvements	**$ 41,825,937**	$ 42,511,647	$ 38,360,830
Acquired systems	**718,458**	740,452	762,446
Equipment	**5,369,952**	5,320,486	5,095,974
Vehicles	**377,654**	446,419	425,542
Computers and software	**101,108**	114,896	125,576
Construction in progress	**16,580,441**	9,902,748	10,492,159
	$ 64,973,550	$ 59,036,648	$ 55,262,527

Debt Administration

At December 31, 2018, the Authority had $83,183,891 of Guaranteed Revenue Bonds and notes payable, compared to $86,579,043 and $89,899,433 at the years ended December 31, 2017 and 2016, respectively. The proceeds from these long-term borrowings were used for renovations and improvements to the water system. See Note 8 for additional information on the Authority's debt.

Economic Factors

The Authority will continue to address the existing infrastructure by addressing the rehabilitation needs of the system, as well as pursue possible extension of the water system into new areas.

Request for Information

This financial report is intended to provide an overview of the finances of the Reading Area Water Authority for those with an interest in the Authority. Questions concerning any information contained in the report may be directed to the Executive Director, Reading Area Water Authority, 1801 Kutztown Road, Reading, Pennsylvania 19604.

Reading Area Water Authority
A Component Unit of the City of Reading
Statement of Net Position

	December 31, 2018	December 31, 2017 (As Restated)
Assets		
Current Assets, Unrestricted		
Cash	**$ 18,330,441**	$ 19,136,396
Accounts receivable, water billings, net of allowance 2018 $2,106,794; 2017 $1,881,156	**4,002,415**	3,866,937
Accounts receivable, trash and recycling billings, net of allowance 2018 $128,908; 2017 $191,257	**16,598**	28,426
Accounts receivable, other	**2,129,961**	-
Unbilled water usage	**1,170,171**	1,015,535
Inventory	**189,543**	283,809
Prepaid expenses	**47,068**	40,468
Total Current Assets, Unrestricted	**25,886,197**	24,371,571
Current Assets, Restricted		
Developer escrow deposits, cash	**30,419**	59,565
Trust accounts, cash and investments		
Clearing Account	**75,320**	21,209
Construction Account	**1,845,316**	3,581,321
Debt Service Account	**7,264**	21,310
Debt Service Reserve Account	**7,430,691**	7,384,320
	9,358,591	11,008,160
Total Current Assets, Restricted	**9,389,010**	11,067,725
Capital Assets		
Capital assets not being depreciated, construction in progress	**16,580,441**	9,902,748
Capital assets being depreciated		
Leasehold improvements	**58,604,152**	56,404,007
Acquired systems	**879,745**	879,745
Equipment	**11,578,274**	10,815,128
Vehicles	**2,954,234**	2,876,463
Computers and software	**891,962**	869,566
	74,908,367	71,844,909
Accumulated depreciation	**(26,515,258)**	(22,711,009)
	48,393,109	49,133,900
Total Capital Assets, Net	**64,973,550**	59,036,648
Other Asset		
Leased land rights	**951,810**	1,020,000
Deferred Outflow of Resources, Refinancing Loss	**1,054,979**	1,197,798
Total Assets and Deferred Outflow of Resources	**102,255,546**	96,693,742

See accompanying notes.

	December 31, 2018	December 31, 2017 (As Restated)
Liabilities		
Current Liabilities		
Accounts payable, capital	**$ 2,277,733**	$ 432,950
Accounts payable, trade	**768,318**	332,434
Accrued payroll, compensated absences, and deferred compensation	**732,885**	658,664
Accrued interest payable	**299,235**	301,130
Escrow deposits	**30,419**	59,565
Other	**2,255**	3,798
Due to City of Reading	**23,300**	204,144
Current maturities of long-term debt	**3,362,113**	3,395,152
Total Current Liabilities	**7,496,258**	5,387,837
Long-Term Debt, Less Current Maturities	**80,796,512**	84,017,089
Total Liabilities	**88,292,770**	89,404,926
Net Position		
Net Position		
Net investment in capital assets	**(18,130,096)**	(27,177,795)
Restricted for debt service	**7,513,275**	7,426,839
Unrestricted	**24,579,597**	27,039,772
Total Net Position	**$ 13,962,776**	$ 7,288,816

See accompanying notes.

Reading Area Water Authority
A Component Unit of the City of Reading

Statement of Revenues, Expenses, and Changes in Net Position

	Years Ended December 31, 2018	2017 (As Restated)
Operating Revenues		
Water billings	**$ 29,663,185**	$ 29,736,140
Interest and penalty charges	**541,209**	472,340
Tampered meter and other charges	**310,720**	449,933
Tapping and connection fees	**50,610**	177,175
Abandonment fees	**20,107**	60,907
Total Operating Revenues	**30,585,831**	30,896,495
Operating Expenses		
Lease payments, City of Reading	**11,640,032**	11,426,339
Chemical supplies	**1,051,101**	746,486
Engineering	**212,728**	156,804
Legal fees	**314,184**	400,633
Salaries and payroll taxes	**4,900,630**	4,667,082
Insurance	**283,829**	146,091
Employee benefits	**1,312,715**	1,210,163
Grant expenditures	**80,094**	74,402
Utilities	**679,059**	593,650
Contracted services	**967,302**	849,520
Repairs and maintenance	**917,080**	847,105
Professional services	**27,865**	31,550
Bank charges	**411,962**	323,014
Dues and subscriptions	**33,752**	40,105
Advertising	**68,490**	48,129
Education	**7,709**	14,844
Supplies	**429,308**	400,447
Bad debt expense	**429,678**	99,268
Total Operating Expenses	**23,767,518**	22,075,632
Operating Income before Depreciation	**6,818,313**	8,820,863
Depreciation and Amortization	**3,872,439**	3,304,835
Operating Income	**2,945,874**	5,516,028

See accompanying notes.

Statement of Revenues, Expenses, and Changes in Net Position (continued)

	Years Ended December 31, 2018	2017 (As Restated)
Nonoperating Revenues (Expenses)		
Investment income	**$ 538,325**	$ 292,510
Miscellaneous income	**7,324,040**	1,464,438
Interest expense	**(3,892,901)**	(3,993,436)
Miscellaneous expense	**(304,124)**	(277,227)
Trash and recycling collections, net	**62,746**	52,169
Nonoperating Revenues (Expenses), Net	**3,728,086**	(2,461,546)
Increase in Net Position	**6,673,960**	3,054,482
Net Position at Beginning of Year, Restated	**7,288,816**	4,234,334
Net Position at End of Year	**$ 13,962,776**	$ 7,288,816

See accompanying notes.

Reading Area Water Authority
A Component Unit of the City of Reading

Statement of Cash Flows

	Years Ended December 31, 2018	2017 (As Restated)
Cash Flows from Operating Activities		
Cash receipts from water customers	**$ 29,866,039**	$ 30,821,108
Cash receipts from trash and recycling customers	**74,574**	61,367
Cash payments to suppliers for goods and services	**(20,226,008)**	(17,400,648)
Cash payments to employees for services	**(4,826,409)**	(4,646,035)
Other receipts	**7,324,040**	1,464,438
Other payments	**(304,124)**	(277,227)
Net Cash Provided by Operating Activities	**11,908,112**	10,023,003
Cash Flows from Capital and Related Financing Activities		
Acquisition and construction of capital assets	**(7,559,580)**	(7,307,282)
Principal paid on long-term debt	**(3,395,152)**	(3,320,390)
Interest paid on long-term debt	**(3,947,229)**	(4,050,713)
Net Cash Used in Capital and Related Financing Activities	**(14,901,961)**	(14,678,385)
Cash Flows from Investing Activities		
Decrease in restricted assets, net	**1,649,569**	8,091,334
Investment income received	**538,325**	292,510
Net Cash Provided by Investing Activities	**2,187,894**	8,383,844
Net Increase (Decrease) in Cash	**(805,955)**	3,728,462
Cash at Beginning of Year	**19,136,396**	15,407,934
Cash at End of Year	**$ 18,330,441**	$ 19,136,396

See accompanying notes.

Statement of Cash Flows (continued)

	Years Ended December 31, 2018	2017 (As Restated)
Reconciliation of Operating Income to Net Cash Provided by Operating Activities		
Operating income	**$ 2,945,874**	$ 5,516,028
Adjustments to reconcile operating income to net cash provided by operating activities		
Depreciation and amortization	**3,872,439**	3,304,835
Trash and recycling, net	**62,746**	52,169
Miscellaneous income	**7,324,040**	1,464,438
Miscellaneous expenses	**(304,124)**	(277,227)
(Increase) decrease in assets		
Accounts receivable, water billings	**(135,478)**	(171,387)
Unbilled water usage	**(154,636)**	195,268
Accounts receivable, trash and recycling billings	**11,828**	9,198
Accounts receivable, other	**(2,129,961)**	-
Inventory	**94,266**	(61,277)
Prepaid expenses	**(6,600)**	-
Increase (decrease) in liabilities		
Accounts payable	**435,884**	53,504
Accrued payroll and compensated absences	**74,221**	21,047
Due to City of Reading	**(180,844)**	(85,536)
Other liabilities	**(1,543)**	1,943
Net Cash Provided by Operating Activities	**$ 11,908,112**	$ 10,023,003
Noncash Investing, Capital, and Financial Activities		
Capital expenditures on accounts payable, capital	**$ 2,277,733**	$ 432,950

See accompanying notes.

Note 1 - Nature of Activity

The Reading Area Water Authority (the Authority), a component unit of the City of Reading (the City), was created as an operating authority in 1994 in compliance with the Pennsylvania Municipality Authorities Act. The Authority was formed to provide water services to residential, commercial, and industrial users of the water system for the City and certain surrounding municipalities. The Authority is governed by a seven-member Board, each of whom is appointed by the City.

Note 2 - Summary of Significant Accounting Policies

The accompanying financial statements conform to accounting principles generally accepted in the United States of America as applicable to governmental units. The following is a summary of the more significant accounting policies used by the Authority:

The Financial Reporting Entity

The Authority is a water supply and distribution entity which operates under a board of director's form of government. Accounting principles generally accepted in the United States of America require that the reporting entity consists of the primary government and organizations for which the primary government is financially accountable. In addition, the primary government may determine through the exercise of management's professional judgment that the inclusion of an organization that does not meet the financial accountability criteria is necessary in order to prevent the reporting entity's financial statements from being misleading. In such instances, that organization should be included as a component unit if the nature and significance of their relationship with the primary government or other component units are such that exclusion from the financial reporting entity would render the financial reporting entity's financial statements incomplete or misleading. In evaluating how to define the reporting entity, management has considered all potential component units. The decision to include a potential component unit in the reporting entity was made based upon the above criteria. There are no agencies or component units required to be included in the Authority's reporting entity.

The Authority is a component unit of the City of Reading, Pennsylvania.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The Authority operates as an enterprise fund. An enterprise fund is used to account for the financing of services to the general public where all or most of the costs involved are paid in the form of charges to users of such services.

Note 2 - Summary of Significant Accounting Policies (continued)

Measurement Focus, Basis of Accounting, and Financial Statement Presentation (continued)

The financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows.

Operating revenues and expenses are distinguished from nonoperating items in the statement of revenues, expenses, and changes in net position. Operating revenues and expenses generally result from providing services in connection with the Authority's principal ongoing operations. The principal operating revenues of the Authority are charges to customers for the sale of water. Operating expenses include the cost of providing services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses. The principal nonoperating revenues and expenses of the Authority are investment income and interest expense.

Assets, Deferred Outflow of Resources, Liabilities, and Net Position

Project Accounts

In accordance with the terms of the trust indenture dated September 15, 2002, the first supplemental indenture dated July 1, 2003, the second supplemental indenture dated July 15, 2007, the third supplemental indenture dated December 19, 2011, and the fourth supplemental indenture dated April 15, 2015 (hereinafter collectively referred to as the "indentures"), relating to the bonded debt, funds of the Authority are accounted for by separate trust accounts; segregated for specific use and held for the benefit of the bondholders. In accordance with the indentures, the trust accounts maintained by the independent trustee are accounted for, by the trustee, using the cash basis method of accounting. A brief description of the purposes of the several revenue bond trust restricted accounts follows:

Clearing Account

Funds are deposited herein to cover principal and interest payments due on the bonds. Transfers are made to the Debt Service Account to make these payments.

Construction Account

The Construction Account consists of funds deposited from the Settlement Account for the purpose of paying costs of capital additions.

Debt Service Account

Semiannual transfers from the Clearing Account are recorded in this account. Current debt service and sinking fund requirements of the bond issues are paid from this account.

Debt Service Reserve Account

This account was funded by the trust indentures. The aggregate balance provides additional collateral for the bondholders.

Note 2 - Summary of Significant Accounting Policies (continued)

Assets, Deferred Outflow of Resources, Liabilities, and Net Position (continued)

Cash

For purposes of reporting cash flows, the Authority considers all cash accounts, which are not subject to withdrawal restrictions or penalties, and all highly-liquid debt investments purchased with a maturity of three months or less to be cash. Cash and cash equivalents held in trust accounts are considered to be investments.

Accounts Receivable

Accounts receivable are shown net of an allowance for uncollectibles, as applicable. Accounts receivable are evaluated for collectability and an allowance is established, as deemed necessary, based on the best information available and in an amount that management believes is adequate. Accounts receivable are written off when deemed uncollectible. Recoveries of accounts receivable previously written off are recorded when received. As of December 31, 2018 and 2017, the allowance for uncollectible accounts was $2,235,702 and $2,072,413, respectively

Unbilled Water Usage

Water usage that is not billed by year-end is recorded using subsequent billings for water used through December 31.

Investments

The Board and trustee are permitted to invest the Authority's funds as defined in the Local Government Unit Debt Act, the Municipality Authorities Act, and the related trust indentures. Authorized types of investments include the following:

1. U.S. Treasury Bills.

2. Short-term obligations of the U.S. Government and federal agencies.

3. Insured savings and checking accounts and certificates of deposit in banks, savings and loan associations, and credit unions.

4. General obligation bonds of the federal government, the Commonwealth of Pennsylvania or any state agency, or of any Pennsylvania political subdivision.

5. Bills of exchange or time drafts drawn are accepted by a commercial bank not to exceed 180 days.

6. Short-term unsecured obligations of corporations or other business entities organized in accordance with federal or state law.

7. Shares of mutual funds whose investments are restricted to the above categories.

Note 2 - Summary of Significant Accounting Policies (continued)

Assets, Deferred Outflow of Resources, Liabilities, and Net Position (continued)

Investments (continued)

When making investments, the Board and trustee (as governed by the trust indentures) can combine funds from more than one fund under the Authority's control for the purchase of a single investment and join with other political subdivisions and municipal authorities in the purchase of a single investment.

Investments are carried at fair value.

Capital Assets

Capital assets are recorded at cost and depreciated utilizing the straight-line method over their estimated useful lives as follows:

Leasehold improvements	5 to 40 years
Acquired systems	40 years
Equipment	3 to 40 years
Vehicles	5 to 7 years
Computers and software	3 to 5 years

Maintenance and repairs of capital assets are charged to operations and major improvements are capitalized. Upon retirement, sale, or other disposition of capital assets, the cost and accumulated depreciation are eliminated from the accounts and gain or loss is included in operations.

Bond Premiums, Discounts, and Deferred Refinancing Losses

Bond premiums, discounts, and deferred refinancing losses are deferred and amortized over the term of the bonds using the effective interest method. Unamortized bond premiums and discounts are presented as an addition or deduction to the face amount of the revenue bonds payable, whereas deferred refinancing losses are recorded as a deferred outflow of resources.

Deferred Outflow of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflow of resources. This separate financial statement element represents a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense) until then. The Authority has a deferred outflow of resources related to a loss on refunding of bonds that results from the difference in the carrying value of refunded debt and its reacquisition price. The amount is deferred and amortized over the shorter of the life of the refunded or refunding debt.

Note 2 - Summary of Significant Accounting Policies (continued)

Assets, Deferred Outflow of Resources, Liabilities, and Net Position (continued)

Compensated Absences

The Authority records its obligation to compensate employees for earned but unused sick time as the liability is incurred. The liability has been determined according to personnel policies of the Authority.

Deferred Compensation

The Authority records its liability for deferred compensation as it is earned. The liability has been determined according to management's policy for non-union employees and the collective bargaining agreement for union employees.

Net Position

Net position is classified into three categories as follows:

Net investment in capital assets - Consists of capital assets, net of accumulated depreciation, deferred outflow of resources, refinancing loss, and debt incurred for the acquisition of capital assets.

Restricted - Amounts that have externally imposed restrictions on how the funds can be spent.

Unrestricted - Amounts that do not meet the definitions of "investment in capital assets" or "restricted" and are available for Authority operations.

When restricted and unrestricted resources are available for its use, it is the Authority's policy to use restricted resources first.

Recent Accounting Pronouncements

In January 2017, the Governmental Accounting Standards Board (GASB) issued Statement No. 84, *Fiduciary Activities*. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources. GASB Statement No. 84 is effective for periods beginning after December 15, 2018.

In June 2017, the GASB issued Statement 87, *Leases*. This Statement requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources. GASB Statement 87 is effective for periods beginning after December 15, 2019.

Note 2 - Summary of Significant Accounting Policies (continued)

Recent Accounting Pronouncements (continued)

In March 2018, the GASB issued Statement 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements*. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. This Statement requires that additional essential information related to debt be disclosed in notes to financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance-related consequences, and significant subjective acceleration clauses. For notes to financial statements related to debt, this Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt. The requirements of this Statement are effective for reporting periods beginning after June 15, 2018.

The Authority is currently evaluating what effect the adoption of these GASB statements will have on its financial statements.

In June 2018, the GASB issued Statement No. 89, *Accounting for Interest Cost Incurred Before the End of a Construction Period*. This statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or enterprise fund. GASB Statement No. 89 is effective for periods beginning after December 15, 2019. The Authority has elected to early adopt this Statement as of December 31, 2018.

Note 3 - Budget Matters

The Authority is not legally required to adopt a budget on an annual basis; however, a budget is adopted annually in order to enhance the operating effectiveness of the Authority.

Note 4 - Stewardship, Compliance, and Accountability

The Authority had no material violations of finance-related legal and contractual provisions in regard to the terms, covenants, provisions, or conditions contained in the trust indentures relating to the bond issues.

Note 5 - Cash and Investments

The Authority's available cash is invested in demand deposit accounts, petty cash, and investments. The carrying amounts of cash and investments consist of the following at December 31:

	2018	2017
Petty cash	**$ 930**	$ 930
Demand deposit accounts	**18,359,930**	19,195,031
Money market mutual funds	**8,159,090**	9,794,328
U.S. Treasury securities	**1,199,501**	1,213,832
	$ 27,719,451	$ 30,204,121

The Authority's cash and investments were classified per the statement of net position as follows at December 31:

	2018	2017
Unrestricted current assets, cash	**$ 18,330,441**	$ 19,136,396
Restricted current assets		
Developer escrow deposits, cash	**30,419**	59,565
Trust accounts, cash and investments	**9,358,591**	11,008,160
	$ 27,719,451	$ 30,204,121

Custodial Credit Risk - Cash

Custodial credit risk is the risk that, in the event of a bank failure, the Authority's deposits may not be returned to the Authority. The Authority has a deposit policy for custodial risk that requires depository institutions to pledge securities as collateral for deposits that exceed depository insurance. At December 31, 2018 and 2017, the carrying amounts of the Authority's bank deposits were $18,359,930 and $19,195,031, respectively, and the bank balances were $19,232,761 and $19,256,314, respectively, of which $357,137 and $357,140 were covered by Federal Depository Insurance, respectively. The remaining deposits of $18,875,624 and $18,899,174 at December 31, 2018 and 2017, respectively, were exposed to custodial risk because they were uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the Authority's name.

Note 5 - Cash and Investments (continued)

Investments

The Authority has the following investments as of December 31:

	Investment Maturities (in Years)	
	Fair Value	Less than One Year
2018		
Federated Treasury Obligation Funds	**$ 8,159,090**	**$ 8,159,090**
Federal Home Loan Bank Note	**1,199,501**	**1,199,501**
	$ 9,358,591	**$ 9,358,591**
2017		
Federated Treasury Obligation Funds	$ 9,794,328	$ 9,794,328
Federal Home Loan Bank Note	1,213,832	1,213,832
	$ 11,008,160	$ 11,008,160

Interest Rate Risk

The Authority does not have a formal investment policy that limits maturities in certain investments as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk

The Authority does not have an investment policy that would limit its investment choices to certain credit ratings. However, the Authority limits the type of investments permitted as defined in the Local Government Unit Debt Act, the Municipality Authorities Act, and the related trust indentures. Permitted investments are defined in Note 2.

Custodial Credit Risk - Investments

For an investment, custodial credit risk is the risk that, in the event of the failure of the counterparty, the Authority will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. As of December 31, 2018 and 2017, $9,358,591 and $11,008,160, respectively, is held by the investment's counterparty, not in the name of the Authority.

Note 6 - Fair Value Measurements

The Authority categorizes its fair value measurements within the fair value hierarchy established by accounting principles generally accepted in the United States of America. The hierarchy sets out a fair value hierarchy with the highest priority being quoted prices in active markets (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

Note 6 - Fair Value Measurements (continued)

Accordingly, the degree of judgment exercised in determining fair value is greatest for instruments categorized in Level 3. The inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, for disclosure purposes, the fair value hierarchy classification is determined based on the lowest level input that is significant to the fair value measurement in its entirety. Fair value measurements will be classified and disclosed in one of the following three categories:

Level 1 - Quoted market prices in active markets for identical assets or liabilities.

Level 2 - Observable market based inputs or unobservable inputs that are corroborated by market data.

Level 3 - Unobservable inputs that are not corroborated by market data.

The following tables present the balances of fair value measurements on a recurring basis by level within the hierarchy as of December 31:

	2018			
	Quoted Prices in Active Markets for Identical Assets (Level 1)	**Significant Observable Inputs (Level 2)**	**Significant Unobservable Inputs (Level 3)**	**Total**
Investments Measured at Fair Value				
U.S. Treasury securities, Federal Home Loan Bank Note	**$ -**	**$ 1,199,501**	**$ -**	**$ 1,199,501**
Investment Measured at Net Asset Value (NAV)				
Federated Treasury Obligation Funds				**8,159,090**
				$ 9,358,591

	2017			
Investments Measured at Fair Value				
U.S. Treasury securities, Federal Home Loan Bank Note	$ -	$ 1,213,832	$ -	$ 1,213,832
Investment Measured at Net Asset Value (NAV)				
Federated Treasury Obligation Funds				9,794,328
				$ 11,008,160

Note 6 - Fair Value Measurements (continued)

Investments classified in Level 2 are valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities' relationship to benchmark quoted prices.

The Federated Treasury Obligations Funds are valued at net asset value (NAV) of units held. This Fund invests primarily in short-term U.S. Treasury securities and seeks to maintain a stable net asset value of $1.00 per share. However, it is possible to lose money. Investments in the Federated Treasury Obligation Funds are not insured or guaranteed by the Federal Deposit Insurance Company or any other government agency.

Note 7 - Capital Assets

Capital assets activity was as follows at December 31:

	Balance January 1, 2018	Additions	Transfers/ Deletions	Balance December 31, 2018
Capital assets not being depreciated				
Construction in progress	$ 9,902,748	$ 8,853,272	$ 2,175,579	$ 16,580,441
Capital assets being depreciated				
Leasehold improvements	56,404,007	2,200,145	-	58,604,152
Acquired systems	879,745	-	-	879,745
Equipment	10,815,128	763,146	-	11,578,274
Vehicles	2,876,463	77,771	-	2,954,234
Computers and software	869,566	22,396	-	891,962
Total capital assets being depreciated	71,844,909	3,063,458	-	74,908,367
Less accumulated depreciation for				
Leasehold improvements	13,892,360	2,885,855	-	16,778,215
Acquired systems	139,293	21,994	-	161,287
Equipment	5,494,642	713,680	-	6,208,322
Vehicles	2,430,044	146,536	-	2,576,580
Computers and software	754,670	36,184	-	790,854
Total accumulated depreciation	22,711,009	3,804,249	-	26,515,258
Total capital assets being depreciated, net	49,133,900	(740,791)	-	48,393,109
Total capital assets, net	$ 59,036,648	$ 8,112,481	$ 2,175,579	$ 64,973,550

Note 7 - Capital Assets (continued)

	Balance January 1, 2017	Additions	Transfers/ Deletions	Balance December 31, 2017
Capital assets not being depreciated				
Construction in progress	$ 10,492,159	$ 6,202,765	$ 6,792,176	$ 9,902,748
Capital assets being depreciated				
Leasehold improvements	49,836,471	6,567,536	-	56,404,007
Acquired systems	879,745	-	-	879,745
Equipment	9,950,024	865,104	-	10,815,128
Vehicles	2,674,806	201,657	-	2,876,463
Computers and software	835,496	34,070	-	869,566
Total capital assets being depreciated	64,176,542	7,668,367	-	71,844,909
Less accumulated depreciation for				
Leasehold improvements	11,475,641	2,416,719	-	13,892,360
Acquired systems	117,299	21,994	-	139,293
Equipment	4,854,050	640,592	-	5,494,642
Vehicles	2,249,264	180,780	-	2,430,044
Computers and software	709,920	44,750	-	754,670
Total accumulated depreciation	19,406,174	3,304,835	-	22,711,009
Total capital assets being depreciated, net	44,770,368	4,363,532	-	49,133,900
Total capital assets, net	$ 55,262,527	$ 10,566,297	$ 6,792,176	$ 59,036,648

Note 8 - Long-Term Debt

Long-term debt consists of the following at December 31:

	Balance Outstanding January 1, 2018	Payments	Balance Outstanding December 31, 2018	Due Within One Year
Guaranteed Water Revenue Bonds, Series of 2003 (Capital Appreciation Bonds), initial issue $21,080,000, various interest rates ranging from 3.60% to 4.62%, maturing in amounts ranging from $610,000 to $2,690,000 through 2020	**$ 8,070,000**	**$ (2,690,000)**	**$ 5,380,000**	**$ 2,690,000**
Note payable to PENNVEST, maximum drawdown of $6,550,000, interest only for the first 36 months of the loan, principal and interest due monthly thereafter; interest at 1.27% for the first five years and 2.55% thereafter through 2032, guaranteed by the City of Reading	**4,234,043**	**(270,152)**	**3,963,891**	**277,113**
Water Revenue Bonds, Series of 2011, initial issue $50,000,000, various interest rates ranging from 2.35% to 5.25%, maturing in amounts ranging from $100,000 to $6,975,000 through 2036	**49,350,000**	**(155,000)**	**49,195,000**	**105,000**
Water Revenue Bonds, Series of 2015, initial issue $25,130,000, various interest rates ranging from 3.00% to 5.00%, maturing in amounts ranging from $57,000 to $577,000 through 2027	**24,925,000**	**(280,000)**	**24,645,000**	**290,000**
	$ 86,579,043	**$ (3,395,152)**	**$ 83,183,891**	**$ 3,362,113**

Note 8 - Long-Term Debt (continued)

	Balance Outstanding January 1, 2017	Payments	Balance Outstanding December 31, 2017	Due Within One Year
Guaranteed Water Revenue Bonds, Series of 2003 (Capital Appreciation Bonds), initial issue $21,080,000, various interest rates ranging from 3.60% to 4.62%, maturing in amounts ranging from $610,000 to $2,690,000 through 2020	$ 10,260,000	$ (2,190,000)	$ 8,070,000	$ 2,690,000
Note payable to PENNVEST, maximum drawdown of $6,550,000, interest only for the first 36 months of the loan, principal and interest due monthly thereafter; interest at 1.27% for the first five years and 2.55% thereafter through 2032, guaranteed by the City of Reading	4,497,408	(263,365)	4,234,043	270,152
Water Revenue Bonds, Series of 2011, initial issue $50,000,000, various interest rates ranging from 2.35% to 5.25%, maturing in amounts ranging from $100,000 to $6,975,000 through 2036	49,520,000	(170,000)	49,350,000	155,000
Water Revenue Note, Series of 2012, initial issue $2,459,000, interest at 2.10%, matured December 2017	492,025	(492,025)	-	-

Note 8 - Long-Term Debt (continued)

	Balance Outstanding January 1, 2017	Payments	Balance Outstanding December 31, 2017	Due Within One Year
Water Revenue Bonds, Series of 2015, initial issue $25,130,000, various interest rates ranging from 3.00% to 5.00%, maturing in amounts ranging from $57,000 to $577,000 through 2027	$ 25,130,000	$ (205,000)	$ 24,925,000	$ 280,000
	$ 89,899,433	$ (3,320,390)	$ 86,579,043	$ 3,395,152

Aggregate maturities required on the long-term debt at December 31, 2018 are as follows:

	Principal	Interest	Total Debt Service
2019	$ 3,362,113	$ 4,310,163	$ 7,672,276
2020	3,379,254	4,388,616	7,767,870
2021	3,401,579	3,542,301	6,943,880
2022	3,574,093	3,380,387	6,954,480
2023	3,741,801	3,209,980	6,951,781
2024-2028	21,016,750	13,871,628	34,888,378
2029-2033	24,808,301	9,142,768	33,951,069
2034-2036	19,900,000	2,125,200	22,025,200
	$ 83,183,891	$ 43,971,043	$ 127,154,934

	2018	2017
Total long-term debt	**$ 83,183,891**	$ 86,579,043
Less current maturities	**(3,362,113)**	(3,395,152)
Less unamortized bond discount	**(194,732)**	(205,576)
Plus unamortized bond premium	**1,522,394**	1,728,490
Less unamortized interest on capital appreciation bonds	**(352,928)**	(689,716)
	$ 80,796,512	$ 84,017,089

Covenants

The Water Revenue Bonds, Series of 2011 and Series of 2015, are subject to financial covenants, including a rate covenant. At December 31, 2018, the Authority was in compliance with these financial covenants.

Note 8 - Long-Term Debt (continued)

Bonds Payable

The bonds are secured under the indentures by an assignment and pledge to the trustee of receipts and revenues from the water system.

Refunding of Series of 2007 Guaranteed Water Revenue Bonds

In April 2015, the Authority issued $25,130,000 in Water Revenue Bonds, Series of 2015, to advance refund the Authority's Guaranteed Water Revenue Bonds, Series of 2007, pay issuance costs and deposit funds into the 2015 Debt Service Reserve Fund. The proceeds of the new bonds were placed in an irrevocable trust to provide for future debt service payments on the Series of 2007 Bonds. The advance refunding resulted in an economic gain (difference between the present value of the debt service payments on the old and new debt) of $1,534,685. The bonds were refunded on June 1, 2017.

Note 9 - Operating Lease

During June 2017, the Authority entered into a new lease agreement with the City to repeal and replace the original lease agreement and all addendums in an effort to organize all proceeding agreements and addendums into one complete document. The new lease agreement was effective January 1, 2017 and shall continue until November 30, 2046. The initial lease payment of $9,275,000 reflects the fair rental value of the Water System, and shall be increased by 2% on January 1st of each respective year for 2018 and 2019. For 2020, 2021, and 2022, the amount of the lease payment shall be increased by 1.5% on January 1st of each respective year. For subsequent years the City and the Authority shall engage in good faith negotiations regarding any further annual increases in the lease payments. In the event that both parties are unable to agree on an amount of any further increase, beginning January 1, 2023 and for each year thereafter, the amount of the lease payment shall be increased by 1.5% effective January 1st of each respective year. The lease payment under the agreement for 2018 and 2017 was $9,460,500 and $9,275,000, respectively.

In addition to the lease payment to the City for operational and administrative expenses, the Authority is to pay a financing fee and meter surcharge payment. The Authority must also provide water service free of charge to the City. Total lease expense for the years ended December 31, 2018 and 2017 was $11,640,032 and $11,426,339, respectively.

In addition, if the Authority enters a contract to supply new commercial customers with water in excess of 10% of the current permitted capacity, the Authority shall pay to the city 25% of the net annual revenues generated by the contract.

Note 9 - Operating Lease (continued)

The following is a schedule of the future minimum lease payments under the lease agreement as of December 31, 2018:

2019	$ 9,649,710
2020	9,794,456
2021	9,941,372
2022	10,090,493
2023	10,241,850
Thereafter	283,018,388
	$ 332,736,269

Note 10 - Retirement Plan

During 2011, the Authority adopted a retirement plan covering salary deferral for those employees who meet the eligibility requirements set forth in the plan. The amount of the contribution for salary deferral is at the discretion of the employee, subject to the provisions of Section 457(b) of the Internal Revenue Code. Under terms of the plan, the Authority may make discretionary matching contributions. The Authority reflects its contributions to the plan as an operating expense. For the years ended December 31, 2018 and 2017, $109,429 and $100,229, respectively, was contributed to the plan.

Note 11 - Commitments and Contingencies

Commitments

Capital Improvements

The Authority has entered into contracts for various capital improvements. Outstanding commitments on these contracts totaled approximately $2,277,700 as of December 31, 2018.

Trash and Recycling Billing Agreement

In April 2013, the Authority entered a Memorandum of Understanding with the City related to charges for trash and recycling. The Authority assumed the billing and collection of the billings at no charge to the City beginning after January 1, 2013. In addition, the City released to the Authority the accounts receivable that result from the billing of such trash and recycling service charges. In exchange for the transfer of the receivables, the Authority made payments to the City of a determined amount on April 30, 2013 and September 30, 2013. The Authority also paid a differential on the amount collected on delinquent accounts from January 1, 2013 through December 31, 2013. The agreement was through December 31, 2014 and, thereafter, on a year-to-year basis unless either party notifies the other by August 31 of any calendar year of its intention to terminate the agreement.

In March 2014, a first amendment was approved establishing payments to be made on a monthly basis for 2014 as defined in the amendment. For years after 2014, payments to be made to the City were as defined in the agreement and were to be paid monthly.

Note 11 - Commitments and Contingencies (continued)

Commitments (continued)

Trash and Recycling Billing Agreement (continued)

The agreement was terminated as of January 1, 2016. The Authority continues to bill and collect the trash and recycling charges on behalf of the City and remits the collections to the City. The net revenue earned from trash and recycling for the years ended December 31, 2018 and 2017 was $62,746 and $52,169, respectively.

Contingencies

Letters of Credit

The Authority has a letter of credit of $800,000 for general Authority matters. The Authority also has letters of credit required by the Commonwealth of Pennsylvania in connection with capital improvement projects in the amount of $3,093,977. The maximum amount of letters of credit the Authority can issue is $4,500,000. The Authority is the beneficiary of a letter of credit of $2,714,919 in connection with capital improvement projects. At December 31, 2018, all letters of credit were unused.

Concentration of Labor

The Authority has entered into collective bargaining agreements with the employees who operate and maintain the Authority's facilities effective through December 31, 2019. Of the Authority's total workforce, 87% is covered by the agreement.

Litigation

In the normal course of business, the Authority is involved in various legal proceedings. In the opinion of management, any liability resulting from such proceedings would not have a material adverse effect on the financial statements.

Gain Contingency

The Authority is involved in litigation and negotiations with several parties regarding the collection of unbilled water usage and engineering fees. Due to the inability to determine the outcome and an estimation of potential recovery of any amounts owed to the Authority related to these matters, the Authority has not recorded a receivable in its financial statements as of December 31, 2018.

Note 12 - Restatement of 2017 Financial Statements

The December 31, 2017 increase in net position was decreased by $34,030 from $3,088,512 to $3,054,482. The decrease in net position was the result of an increase in accrued compensation expense of $34,030.

The December 31, 2017 financial statements, as previously issued, were restated as a result of an increase in accrued compensation as follows:

	Statement of Net Position		
	As Previously Reported	**As Restated**	**Effects of Change**
Liabilities			
Accrued payroll, compensated absences, and deferred compensation	$ 575,619	$ 658,664	$ 83,045
Total Net Position	$ 7,371,861	$ 7,288,816	$ (83,045)
	Statement of Revenues, Expenses, and Changes in Net Position		
Operating Expenses			
Salaries and payroll taxes	$ 4,633,052	$ 4,667,082	$ 34,030
Net Position at Beginning of Year	$ 4,283,349	$ 4,234,334	$ (49,015)

Note 13 - Reclassification

Certain information in the 2017 financial statements and related footnotes contain reclassifications necessary to make that information comparable to information presented in the 2018 financial statements.

Note 14 - Subsequent Events

The Authority has evaluated subsequent events through June 27, 2019. This date is the date the financial statements were available to be issued. No material events subsequent to December 31, 2018 were noted.

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APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

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STEVENS & LEE
LAWYERS & CONSULTANTS
111 North 6th Street
P.O. Box 679
Reading, PA 19603-0679
(610) 478-2000 Fax (610) 376-5610
www.stevenslee.com

March 26, 2020

Re: Reading Area Water Authority
Federally Taxable Water Revenue Bonds, Series of 2020

TO THE REGISTERED OWNERS OF THE ABOVE-CAPTIONED BONDS:

We have acted as Bond Counsel in connection with the issuance by the Reading Area Water Authority (the "Authority") of its Federally Taxable Water Revenue Bonds, Series of 2020, dated March 26, 2020 (the "Bonds"), in the aggregate principal amount of $50,195,000.

The Bonds are being issued pursuant to the Pennsylvania Municipality Authorities Act of May 2, 1945, P. L. 382 (the "1945 Act"), which 1945 Act is codified and continued by Act No. 22, approved on June 19, 2001, 53 Pa.C.S.A. §5601 *et seq*., as amended and supplemented ("Act 22" and together with the 1945 Act, collectively, the "Act"), and resolutions of the Board of the Authority adopted on February 24, 2020 (the "Resolution"). The Bonds are being issued, in fully registered form, in denominations of $5,000 and in integral multiples thereof, under and pursuant to the provisions of a Trust Indenture, dated as of September 15, 2002 (the "Original Indenture"), as amended and supplemented by a First Supplemental Trust Indenture, dated as of July 1, 2003, a Second Supplemental Trust Indenture, dated as of July 15, 2007, a Third Supplemental Trust Indenture, dated December 15, 2011, a Fourth Supplemental Trust Indenture, dated as of April 15, 2015, and a Fifth Supplemental Trust Indenture, dated as of March 15, 2020 (the "Fifth Supplemental Indenture"; the Original Indenture, as amended and supplemented, is referred to herein as the "Indenture"), between the Authority and Manufacturers and Traders Trust Company, Harrisburg, Pennsylvania, as trustee (the "Trustee").

Proceeds of the Bonds, together with certain other funds of the Authority, will be used to finance a project (the "Project") which consists generally of the following: (i) the advance refunding of the Authority's Water Revenue Bonds, Series of 2011; and (ii) the payment of the costs associated with the issuance of the Bonds.

The timely payment of the scheduled principal of and interest on the Bonds when due will be secured by a municipal bond insurance policy (the "Bond Insurance Policy") issued by Build America Mutual Assurance Company, a New York-domiciled mutual insurance company (the "Bond Insurer").

In our capacity as Bond Counsel, we have reviewed the following:

(a) A certified copy of the By-Laws and Articles of Incorporation of the Authority;

(b) A copy of the Resolution;

(c) The executed Indenture;

(d) The opinion of General Counsel to the Bond Insurer;

(e) A specimen copy of one of the Bonds;

(f) The accepted bond purchase proposal of Stifel, Nicolaus & Company, Incorporated, acting on its own behalf and on behalf of RBC Capital Markets, LLC (collectively, the "Purchaser"), dated February 27, 2020, for the purchase of the Bonds;

(g) The General Certificate of the Authority; and

(h) The other documents, instruments, certificates, agreements and opinions (including, without limitation, the opinion of RRS Legal, LLC, Reading, Pennsylvania, solicitor to the Authority (the "Solicitor's Opinion")) executed and delivered at, or in connection with, the closing held this day. We have also reviewed the relevant provisions of the Constitution of the Commonwealth of Pennsylvania and the Act.

Based and in reliance upon the foregoing, our attendance at the closing held this day and subject to the caveats, qualifications, exceptions and assumptions set forth herein, it is our opinion, as of the date hereof under existing law that:

1. The Authority has been duly incorporated and is validly existing under the laws of the Commonwealth of Pennsylvania and has full power and authority to issue and sell the Bonds.

2. The proceedings authorizing adoption of the Resolution, authorizing issuance, execution, authentication and delivery of the Bonds and authorizing the sale of the Bonds to the Purchaser are valid and legally sufficient.

3. The Fifth Supplemental Indenture has been duly authorized, executed and delivered by and on behalf of the Authority and constitutes the valid and legally binding obligation of the Authority.

4. The Bonds have been duly authorized and issued by the Authority. Such Bonds, upon authentication thereof by the Trustee, will constitute valid and legally binding obligations of the Authority. Upon authentication, the Bonds will be entitled to the benefit and security of the Indenture.

5. Under the laws of the Commonwealth of Pennsylvania, the Bonds and interest on the Bonds shall be free from taxation for State and local purposes within the Commonwealth of Pennsylvania, but this exemption does not extend to gift, estate, succession or inheritance taxes or any other taxes not levied directly on the Bonds or the interest thereon. Under the laws of the Commonwealth of Pennsylvania, profits, gains or income derived from the sale, exchange or other disposition of the Bonds are subject to State and local taxation within the Commonwealth of Pennsylvania.

In connection with providing the foregoing opinions, we call to your attention the following:

A. As to questions of fact material to our opinion, we have relied upon the certified proceedings and other documents, agreements, instruments, opinions, reports and certificates furnished to us at or in connection with the issuance of the Bonds without undertaking to verify the same by independent investigation. We have also relied upon the accuracy of the representations and warranties and the continuing performance of the covenants and agreements of the Authority set forth in the Indenture and the various certificates and other agreements delivered at or in connection with the closing held this day.

B. In providing the opinions set forth in paragraphs 1, 2, 3 and 4 above, we have relied, without independent investigation, on the Solicitor's Opinion.

C. In connection with the opinions set forth in paragraphs 3 and 4 above, we call to your attention that enforceability of the documents referred to therein may be limited by: (a) the availability or unavailability of equitable remedies including, but not limited to, specific performance and injunctive relief; (b) the effect of bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance or other similar laws or equitable principles generally affecting creditors' rights or remedies; and (c) the effect of certain laws and judicial decisions limiting on constitutional or public policy grounds any provisions set forth in such documents purporting to waive rights of due process and legal procedure.

D. We express no opinion regarding any federal income tax consequences arising with respect to the Bonds.

E. The Bonds are obligations of the Authority and payment thereof is not supported by a pledge of the full faith, credit or taxing power of the Commonwealth of Pennsylvania or any political subdivision thereof. The Authority has no taxing power.

F. We have not been engaged to verify, nor have we independently verified, nor do we express any opinion to the registered owners of the Bonds with respect to, the accuracy, completeness or truthfulness of any statements, certifications, information or financial statements set forth in the preliminary official statement dated February 20, 2020 (the "Preliminary Official Statement") or in the official statement dated February 27, 2020 (the "Official Statement") or otherwise used in connection with the offer and sale of the Bonds or otherwise delivered by officials of the Authority. We express no opinion herein with respect to whether the Authority or the Bond Insurer, in connection with the sale of the Bonds or the preparation of the Preliminary Official Statement or the Official Statement has made any untrue statement of a material fact or omitted to state a material fact necessary in order to make any statements made not misleading.

G. We have not verified, and express no opinion as to the accuracy of, any "CUSIP" identification number which may be printed on any Bonds. We have also assumed the genuineness of the signatures appearing upon all the certificates, documents and instruments executed and delivered at closing.

H. The opinions expressed herein are based on an analysis of existing laws, regulations, rulings, and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Our engagement as Bond Counsel has concluded with the issuance of the Bonds and we disclaim any obligation to update this letter.

STEVENS & LEE, P.C.

APPENDIX F

FORM OF CONTINUING DISCLOSURE CERTIFICATE

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READING AREA WATER AUTHORITY
$50,195,000 FEDERALLY TAXABLE WATER REVENUE BONDS SERIES OF 2020

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate, dated March 26, 2020 (the "Disclosure Certificate"), is executed and delivered by the Reading Area Water Authority, Berks County, Pennsylvania (the "Authority"), in connection with the issuance of $50,195,000 aggregate principal amount Federally Taxable Water Revenue Bonds, Series of 2020 (the "Bonds").

The Bonds are being issued pursuant to a Trust Indenture dated as of September 15, 2002, as previously amended and supplemented (the "Original Indenture") between this Authority and Manufacturers and Traders Trust Company, Harrisburg, Pennsylvania, as trustee (the "Trustee"), and as further amended and supplemented by a Fifth Supplemental Trust Indenture dated as of March 15, 2020 (the "Fifth Supplemental Indenture"; the Original Indenture, as amended and supplemented by the Fifth Supplemental Indenture, is referred to herein as the "Indenture"), between the Authority and the Trustee. The Authority covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the Authority for the benefit of the Bondholders and in order to assist the Participating Underwriter in complying with the Rule (hereinafter defined).

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the Authority pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Bondholders" or "Holders" shall mean the registered owners of the Bonds and, if registered in the name of Cede & Co., through The Depository Trust Company, New York, New York ("DTC"), any Beneficial Owners (as such term is used by DTC to define holders other than nominees) of the Bonds, unless the Rule, or an authoritative interpretation thereof by the Securities and Exchange Commission (the "Commission") or its staff, does not require this Disclosure Certificate to be for the benefit of such Beneficial Owners.

"Bond Insurance Company" shall mean Build America Mutual Assurance Company, its successors and assigns.

"Commission" shall mean the Securities and Exchange Commission.

"Dissemination Agent" shall mean any person or entity designated from time to time in writing by the Authority and which has filed with the Authority a written acceptance of such designation and of the duties of the Dissemination Agent under this Disclosure Certificate.

"EMMA" shall mean the Electronic Municipal Market Access system as described in 1934 Act Release No. 59062 and maintained by the MSRB for purposes of the Rule as further described in Section 13 hereof.

"Filing" shall mean, as applicable, any Annual Report or Listed Event filing or any other notice or report made public under this Disclosure Certificate made with each NRMSIR or the MSRB and the SID, if any, together with a completed copy of a cover sheet in such form acceptable to each NRMSIR, the MSRB or SID, if applicable, describing the event by checking the box in said form when filing pursuant to the pertinent sections of this Disclosure Certificate.

"Financial Obligation" shall mean a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term Financial Obligation shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

"Listed Events" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board, or any successor thereto for purposes of the Rule. Currently, MSRB's address, phone number and fax number for purposes of the Rule are:

Municipal Securities Rulemaking Board
1300 I Street NW, Suite 1000
Washington, DC 20005
Phone: 202-838-1500
Fax: 202-898-1500

"NRMSIR" shall mean any Nationally Recognized Municipal Securities Information Repository recognized for purposes of the Rule and the MSRB, as reflected on the website of the Securities and Exchange Commission at www.sec.gov. **As of the date of this Disclosure Certificate, the sole NRMSIR shall be the MSRB, through the operation of EMMA, as provided in Section 13 hereof.**

"Participating Underwriter" shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"Repository" shall mean each NRMSIR and the SID, if any.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

"SID" shall mean any public or private state information depositary or entity designated by the Commonwealth of Pennsylvania as a state information depositary for the purpose of the Rule, if any. As of the date of this Disclosure Certificate, no SID has been designated.

SECTION 3. Provision of Annual Reports.

(a) The Authority shall not later than 270 days immediately following the end of the Authority's fiscal year, commencing with the fiscal year ending December 31, 2019, provide directly or through the Dissemination Agent to each Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. In connection therewith, not later than fifteen (15) Business Days prior to said date, the Authority shall provide the Annual Report to the Dissemination Agent (if one has been designated by the Authority under this Disclosure Certificate). The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the Authority may be submitted separately from the remainder of the Annual Report when such audited financial statements are available. If the audited financial statements are not submitted as part of the Annual Filing to each Repository pursuant to this Section 3(a), the Authority shall provide to each Repository such audited financial statements when they are available to the Authority.

(b) If the Authority is unable to provide to the Repositories an Annual Report by the date required in subsection (a), the Authority shall send or cause the Dissemination Agent to send, in a timely manner, a notice to each NRMSIR and the SID in substantially the form attached as Exhibit A.

(c) The Authority or the Dissemination Agent, if applicable, shall:

(i) determine each year prior to the date for providing the Annual Report the name and address of each NRMSIR and the SID, if any; and

(ii) if a Dissemination Agent has been designated hereunder, file a report with the Authority certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and listing all the Repositories to which it was provided.

(iii) The Authority shall promptly file a notice of any change in its fiscal year and the new annual filing date with each NRMSIR and the SID.

(d) If the Dissemination Agent does not receive the Annual Report from the Authority by the fifteenth Business Day specified in Section 3(a) above, the Dissemination Agent shall provide a written reminder notice to the Authority with respect to the Authority's obligations under Section 3(a) above no later than five (5) Business Days after such fifteenth Business Day.

SECTION 4. Content of Annual Reports. The Authority's Annual Report shall contain or incorporate by reference the following:

(a) the Authority's annual financial statements audited in accordance with generally accepted accounting principles applicable in the preparation of financial statements of municipalities and other public entities and applicable federal and state auditing statutes, regulations, standards and/or guidelines;

(b) a copy of or a summary of the budget for the current fiscal year; and

(c) an update of the information set forth under the following headings in the Official Statement dated February 27, 2020:

(i) Water Rates and Charges;

(ii) Ten Largest Users; and

(iii) The Water System – The System Facilities – Customers.

Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the Authority or related public entities, which have been submitted to each of the Repositories or the Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Authority shall clearly identify each such other document so incorporated by reference. The Authority reserves the right to modify from time to time specific types of information provided hereunder or the format of the presentation of such information, to the extent necessary or appropriate; provided, however, that any such modification will be done in a manner consistent with the Rule.

SECTION 5. Reporting of Significant Events.

(a) The occurrence of any of the following events with respect to a particular series of the Bonds, constitutes a "Listed Event" only with respect to such series of the Bonds. This Section 5 shall govern the giving of notices of the occurrence of any of the following events:

(i) Principal and interest payment delinquencies;

(ii) Nonpayment related defaults, if material;

(iii) Unscheduled draws on debt service reserves reflecting financial difficulties;

(iv) Unscheduled draws on credit enhancements reflecting financial difficulties;

(v) Substitution of credit or liquidity providers, or their failure to perform;

(vi) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax-exempt status of the Bonds, or other material events affecting the tax status of the Bonds;

(vii) Modifications to rights of securities holders, if material;

(viii) Bond calls, if material, and tender offers for the Bonds;

(ix) Defeasances;

(x) Release, substitution, or sale of property securing repayment of the securities, if material;

(xi) Rating changes;

(xii) Bankruptcy, insolvency, receivership or similar events of the Authority;

(xiii) The consummation of a merger, consolidation, or acquisition involving the Authority or the sale of all or substantially all of the assets of the Authority, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) Appointment of a successor or additional trustee or paying agent or the change of name of a trustee or paying agent, if material;

(xv) Incurrence of a Financial Obligation of the Authority, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Authority, any of which affect security holders, if material; and

(xvi) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Authority, any of which reflect financial difficulties.

(b) Whenever the Authority obtains knowledge of the occurrence of a Listed Event, the Authority shall as soon as possible (with respect to those Listed Events where a determination of materiality by the Authority is applicable) determine if such event would constitute material information for Holders of Bonds under applicable federal securities laws.

(c) If (i) a Determination of materiality by the Authority is not relevant to the obligation to give notice of a Listed Event or (ii) the Authority determines (with respect to those Listed Events where a determination of materiality by the Authority is applicable) that knowledge of the occurrence of a Listed Event would be material under applicable federal securities laws, the Authority shall promptly file in a timely manner, not in excess of ten (10) business days after the occurrence of the Listed Event, or cause the Dissemination Agent to so file (if a Dissemination Agent has been designated hereunder) a notice of such occurrence with each NRMSIR and the SID, if any, with a copy to the Trustee.

(d) For purposes of the Listed Events in Section 5(a)(xii), the Authority and the Dissemination Agent acknowledge the following interpretive note which the Commission has set forth in the Rule: *"Note: for the purposes of the event identified in subparagraph (b)(5)(i)(C)(12), the event is considered to occur when any of the following occur:*

the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person;"

SECTION 6. Termination of Reporting Obligation. The Authority's obligations under this Disclosure Certificate shall terminate upon the defeasance, prior redemption or payment in full of all of the Bonds.

In the event that any person or entity subsequent to the execution hereof becomes an "obligated person," as such term is defined in the Rule, with respect to the Bonds, the Authority covenants to use its best effort to cause such obligated person to enter into a written undertaking to comply with the provisions of the Rule or to cause this Disclosure Certificate to be amended and to cause such obligated person to join in the execution of such amendment.

SECTION 7. Dissemination Agent. The Authority may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Authority shall cause the Dissemination Agent appointed hereunder and any successors to execute and deliver an acknowledgment of acceptance of the designation and duties of Dissemination Agent under this Disclosure Statement.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the Authority may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, if the Authority has received an opinion of counsel knowledgeable in federal securities laws to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the Authority from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Authority chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Authority shall have no obligation under this Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the Authority to comply with any provision of this Disclosure Certificate, any Bondholder may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Authority to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Bonds or the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the Authority to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent, if other than the Authority. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the Authority agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the Authority under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

SECTION 12. Undertaking with Respect to Certain Procedures and Policies. The Authority agrees to begin the process of establishing internal policies and procedures for the purpose of continuing disclosure compliance. Without intending to preclude the adoption of other necessary or useful policies and procedures, a single Authority official will be designated with ultimate responsibility for continuing disclosure compliance and will oversee the process of informing and training appropriate deputies and other Authority employees with respect to the Authority's continuing disclosure undertakings.

SECTION 13. EMMA. Filings shall be made to the continuing disclosure service portal provided through EMMA as provided at http://www.emma.msrb.org, or any similar system that is acceptable to the Commission.

SECTION 14. Disclosure to Bond Insurance Company. As long as the municipal bond insurance policy issued by Bond Insurance Company insuring the payment when due of the principal of and interest on the Bonds is in full force and effect, the Authority shall provide a copy of (a) each Annual Report distributed pursuant to Section 3 hereof and (b) each notice of the occurrence of a Listed Event distributed pursuant to Section 5 hereof to Bond Insurance Company, if any.

SECTION 15. Alternative Filing. Notwithstanding the other provisions of this Disclosure Certificate, any filing under this Disclosure Certificate, and any additional supplements hereto, may be made with such depositories and using such electronic filing systems as may be approved by the United States Securities and Exchange Commission (in lieu of the procedures currently in this Disclosure Certificate).

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SECTION 16. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the Authority, the Trustee, the Dissemination Agent (if any), the Participating Underwriter, the Bond Insurance Company and the Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

READING AREA WATER AUTHORITY

By:_____
Chairman

Attest:

_____
Secretary

EXHIBIT A[1]

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Reading Area Water Authority
Berks County, Pennsylvania

Name of Bond Issue: Reading Area Water Authority
Berks County, Pennsylvania,
$50,195,000 aggregate principal amount
Federally Taxable Water Revenue Bonds, Series of 2020 (the "Bonds")

Date of Issuance: March 26, 2020

NOTICE IS HEREBY GIVEN that Reading Area Water Authority, Berks County, Pennsylvania (the "Authority"), has not provided an Annual Report with respect to the above-named Bonds as required by Section 3 of the Continuing Disclosure Certificate, dated March 26, 2020, executed by the Authority. The Authority anticipates that the Annual Report will be filed by _____.

Dated:_____

READING AREA WATER AUTHORITY,
BERKS COUNTY, PENNSYLVANIA [or
DISSEMINATION AGENT on behalf of
READING AREA WATER AUTHORITY,
BERKS COUNTY, PENNSYLVANIA]

cc: Trustee

[1] The substantive content of this notice shall be provided in any applicable notice filing. Appropriate modifications may be made to accommodate the electronic submission format requirements of the EMMA system or other successor electronic filing system.

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APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

SPECIMEN

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

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